DRAFT OF JUNE 20, 2025

PRIVILEGED AND CONFIDENTIAL • ATTORNEY WORK PRODUCT • FOR DISCUSSION PURPOSES ONLY

NOT FOR EXECUTION — SUBJECT TO CONTINUING REVIEW, COMMENT AND LANDLORD BOARD APPROVAL

GROUND LEASE AGREEMENT

(Long-Term Ground Lease — Ninety-Nine (99) Year Term)

by and between

CITY OF PORT CALLOWAY REDEVELOPMENT AUTHORITY
a public body corporate and politic organized under
Connecticut General Statutes § 8-125 et seq.
as Landlord

and

MERIDIAN GATEWAY HOLDINGS LLC
a Delaware limited liability company
as Tenant

Premises: 10–30 Pier Street, Port Calloway, Connecticut 06801
Assessor's Parcel No. 127-003-0045 • Approximately 3.2 acres (139,392 square feet)

Prepared by Hargrove & Linden LLP, Tenant's Counsel
1100 Constitution Avenue, Hartford, Connecticut 06103
Rebecca Tsang, Lead Partner • Jordan Abernathy, Associate Counsel

TABLE OF CONTENTS

ARTICLE 1 DEFINITIONS AND INTERPRETATION

ARTICLE 2 PREMISES; TERM; CONDITIONS PRECEDENT; DELIVERY

ARTICLE 3 DEVELOPMENT, MILESTONES AND FORCE MAJEURE

ARTICLE 4 BASE RENT, ESCALATIONS AND RENT RESETS

ARTICLE 5 PERCENTAGE RENT AND GROSS REVENUES

ARTICLE 6 IMPOSITIONS AND THE TAX ABATEMENT

ARTICLE 7 ENVIRONMENTAL MATTERS AND THE REMEDIATION CREDIT

ARTICLE 8 SECURITY DEPOSIT AND LETTER OF CREDIT

ARTICLE 9 LEASEHOLD FINANCING; LENDER PROTECTIONS; SNDA; NEW LEASE

ARTICLE 10 DEFAULTS, REMEDIES AND MILESTONE TERMINATION

ARTICLE 11 ASSIGNMENT, SUBLETTING, PERMITTED TRANSFERS AND RIGHT OF FIRST REFUSAL

ARTICLE 12 INSURANCE

ARTICLE 13 CASUALTY AND CONDEMNATION

ARTICLE 14 OPERATION, MAINTENANCE, OPEN SPACE, BULKHEAD AND ALTERATIONS

ARTICLE 15 COMPLIANCE WITH LAWS; FLOOD RESILIENCE; ELUR

ARTICLE 16 TITLE, PERMITTED EXCEPTIONS, QUIET ENJOYMENT AND ESTOPPELS

ARTICLE 17 SURRENDER; END OF TERM; REMOVAL; HOLDOVER

ARTICLE 18 REPRESENTATIONS, WARRANTIES AND COVENANTS

ARTICLE 19 NOTICES

ARTICLE 20 MISCELLANEOUS

SIGNATURE PAGES AND ACKNOWLEDGMENTS

EXHIBITS A THROUGH G

Exhibits

EXHIBIT A Legal Description of the Premises

EXHIBIT B Permitted Exceptions

EXHIBIT C Development Milestones and Extension Schedule

EXHIBIT D Base Rent Schedule, Rent Reset and Percentage Rent Mechanics

EXHIBIT E Form of Letter of Credit

EXHIBIT F Required Terms of SNDA

EXHIBIT G Form of Memorandum of Ground Lease

GROUND LEASE AGREEMENT

This **GROUND LEASE AGREEMENT** (this "**Lease**") is made and entered into as of _____, 2025 (the "**Effective Date**"), by and between **CITY OF PORT CALLOWAY REDEVELOPMENT AUTHORITY**, a public body corporate and politic organized and existing under the provisions of Connecticut General Statutes § 8-125 *et seq.*, having its principal offices at 75 Municipal Plaza, Port Calloway, Connecticut 06801 (the "**Landlord**" or the "**Authority**"), and **MERIDIAN GATEWAY HOLDINGS LLC**, a Delaware limited liability company duly formed on August 14, 2019, registered to do business in the State of Connecticut, having its principal place of business at 400 Harborview Drive, Suite 1200, Port Calloway, Connecticut 06801 (the "**Tenant**").

RECITALS

A. Landlord holds fee simple title to that certain parcel of land located at 10–30 Pier Street, Port Calloway, Connecticut 06801, identified as Assessor's Parcel No. 127-003-0045, containing approximately 3.2 acres (139,392 square feet), as more particularly described on **Exhibit A** attached hereto (the "**Premises**"), which Premises Landlord acquired through eminent domain proceedings concluded in 2012.

B. The Premises are located within the Port Calloway Waterfront Revitalization District and are zoned WRD-3 (Mixed-Use High Density) under the Port Calloway Zoning Regulations, and are subject to that certain Environmental Land Use Restriction recorded March 22, 2018, at Volume 412, Page 88 of the Port Calloway Land Records (the "**ELUR**") and to the other matters described on **Exhibit B**.

C. Tenant intends to develop on the Premises a mixed-use project consisting of a twenty-eight (28) story residential rental tower, a six (6) story Class A office building, ground-floor retail space, accessory structured and/or below-grade parking, and not less than eight thousand (8,000) square feet of publicly accessible waterfront open space, together with related amenities and improvements (collectively, the "**Project**"), at an estimated total project cost of Four Hundred Twenty-Five Million Dollars ($425,000,000).

D. Landlord and Tenant are parties to that certain binding term sheet dated June 10, 2025 (the "**Term Sheet**") setting forth the principal business terms of this Lease, and Landlord's Board of Commissioners adopted Resolution No. 2025-047 on June 5, 2025, authorizing the Executive Director to negotiate, execute and deliver this Lease.

E. Tenant has obtained a construction loan commitment from Bayside Federal Lending Corp. in the principal amount of Two Hundred Eighty-Five Million Dollars ($285,000,000), and equity commitments from Coventry Capital Partners LP in the amount of Ninety-Five Million Dollars ($95,000,000) and from Tenant's members in the amount of Forty-Five Million Dollars ($45,000,000), each of which is conditioned upon this Lease being in form and substance satisfactory to the construction lender and containing the leasehold mortgage protections set forth in Article 9.

F. The environmental condition of the Premises has been evaluated in the Phase I Environmental Site Assessment dated March 15, 2025 and the Phase II Environmental Site Assessment dated May 2, 2025, each prepared by Halcyon

Environmental Consultants Inc., and the parties have agreed upon the allocation of remediation responsibility and the Remediation Credit set forth in Article 7.

G. The redevelopment of the Premises serves a valid public purpose and is consistent with Landlord's waterfront revitalization plan, and the parties intend that this Lease confer upon Tenant a financeable, institutional-quality leasehold estate for the full ninety-nine (99) year Term.

NOW, THEREFORE, in consideration of the mutual covenants contained herein, the Remediation Credit, the Security Deposit, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Landlord and Tenant agree as follows:

ARTICLE 1 — DEFINITIONS AND INTERPRETATION

1.1. Defined Terms. Capitalized terms used in this Lease have the meanings set forth in this Article 1. Terms defined elsewhere in this Lease have the meanings given to them in the provision in which they are defined.

"Affiliate" means, with respect to any Person, any other Person that directly or indirectly controls, is controlled by, or is under common control with such Person; any entity in which Marcus Ellison holds a direct or indirect controlling interest; Coventry Capital Partners LP, any fund, vehicle, account or separate account managed or advised by Coventry Capital Partners LP or its affiliates, and any of their respective affiliates, subsidiaries, general partners, managers and related funds; and any entity resulting from an internal reorganization or restructuring of Tenant's ownership. For purposes of this definition, "control" means the direct or indirect power to direct or cause the direction of the management and policies of a Person, whether through the ownership of voting securities, by contract or otherwise.

"Applicable Law" means all present and future federal, state and local statutes, ordinances, codes, rules, regulations, orders, permits, judgments and administrative determinations applicable to the Premises, the Improvements or the use or operation thereof, including the Connecticut General Statutes, the Port Calloway Zoning Regulations, the Connecticut Remediation Standard Regulations, the ELUR, the Connecticut State Building Code, the Port Calloway Flood Damage Prevention Ordinance, the federal Fair Housing Act and all applicable coastal, tidal wetlands and floodplain management requirements.

"Appraised Value" means, with respect to the Improvements as of any date, the fair market value of the Improvements (exclusive of the value of Landlord's fee interest in the land, and disregarding any depreciation attributable to the remaining Term or to the reversion), determined in accordance with Section 10.8.

"Base Rent" means the annual rent payable under Article 4, as escalated and reset from time to time, together with all interest and charges thereon.

"Breakpoint" means Twenty-Eight Million Five Hundred Thousand Dollars ($28,500,000) for Lease Year 6, as adjusted and reset in accordance with Section 5.3.

"Business Day" means any day other than a Saturday, Sunday or day on which commercial banks in the State of Connecticut are authorized or required by law to be closed.

"Certificate of Occupancy" means a temporary or permanent certificate of occupancy (or equivalent certificate of completion or use) issued by the Port Calloway Building Official for any portion of the Project.

"Documented Damages" means, with respect to Landlord and any Milestone Default or other Event of Default, Landlord's actual, reasonable and documented out-of-pocket losses and costs proximately caused by such default, determined and limited as provided in Section 10.7, and expressly excluding any amount attributable to the value of the Improvements, anticipated Percentage Rent, lost tax revenue, lost development opportunity, or any consequential, punitive or speculative damages.

"ELUR" has the meaning given in Recital B, together with any modification, amendment, renewal or replacement thereof approved by the Connecticut Department of Energy and Environmental Protection ("**DEEP**").

"Environmental Laws" means all Applicable Laws relating to pollution, contamination, protection of the environment, natural resources, human health or Hazardous Materials, including the Connecticut Remediation Standard Regulations,

Conn. Agencies Regs. § 22a-133k-1 *et seq.*, Connecticut General Statutes § 22a-133o and § 22a-134 *et seq.*, the federal Comprehensive Environmental Response, Compensation, and Liability Act, and the federal Resource Conservation and Recovery Act.

"Event of Default" means an event described in Section 10.1 or Section 10.2.

"Force Majeure Event" means any of the following events or conditions, to the extent beyond Tenant's reasonable control and not caused by Tenant's fault or negligence: acts of God; fire; flood; storm surge; hurricane, tropical storm or nor'easter; unusually severe weather; sea level rise or tidal flooding affecting the Premises; earthquake; war; terrorism; civil unrest; epidemic or pandemic; strikes, lockouts or other labor disputes; shortages or disruption in the supply of labor, materials, equipment or utilities; governmental orders, moratoria, shutdowns or delays (including delays in the issuance of building, zoning, coastal, tidal wetlands, DEEP, ELUR-related, floodplain or other permits or approvals and delays caused by appeals or third-party challenges); delay in the issuance of a Certificate of Occupancy; discovery of previously unknown or undocumented subsurface conditions, contamination or archeological or historic resources; failure of utilities or transportation infrastructure; and any act, omission or delay of Landlord, the City of Port Calloway or any other governmental authority.

"Gross Revenues" has the meaning given in Section 5.2.

"Hazardous Materials" means petroleum and petroleum products (including total petroleum hydrocarbons, gasoline-range and diesel-range organics), volatile and semi-volatile organic compounds, polychlorinated biphenyls, heavy metals, asbestos, polychlorinated dibenzodioxins and dibenzofurans, per- and polyfluoroalkyl substances, and any other substance, material or waste that is regulated as hazardous, toxic or a pollutant under any Environmental Law.

"Improvements" means all buildings, structures, fixtures, site work, utilities, landscaping, bulkhead repairs and replacements, and other improvements of every kind now or hereafter constructed, installed or placed on the Premises by or for Tenant, including the Project, but excluding Tenant's Trade Fixtures.

"Improvement Payment" has the meaning given in Section 10.6.

"Impositions" has the meaning given in Section 6.2.

"Landlord Delay" means any delay in the performance of Tenant's obligations under this Lease (including the achievement of any Milestone) to the extent caused by (a) any failure by Landlord to perform any obligation under this Lease within the time required, including any failure to deliver a consent, approval, estoppel, SNDA or other instrument within the applicable period; (b) any failure by Landlord or the City of Port Calloway to obtain, maintain or cooperate in obtaining any governmental approval within the control of Landlord or the City of Port Calloway; (c) any act, omission, negligence or interference by Landlord, its agents, contractors or invitees; or (d) any failure of the Premises to be delivered in the condition required by Section 2.9.

"Lease Year" means each successive period of twelve (12) full calendar months during the Term, the first such period commencing on the Rent Commencement Date and each subsequent period commencing on the anniversary of the Rent Commencement Date; provided that if the Rent Commencement Date is not the first day of a calendar month, Lease Year 1 shall commence on the Rent Commencement Date and shall end on the last day of the calendar month in which the first anniversary of the Rent Commencement Date occurs.

"Leasehold Mortgage" means any mortgage, deed of trust, deed to secure debt or other security instrument (including any amendment, restatement, renewal, extension, consolidation, replacement or refinancing thereof, and any assignment of leases and rents, security agreement or other ancillary instrument executed in connection therewith) encumbering Tenant's leasehold interest in the Premises and the Improvements, whether granted to the Construction Lender or to any other institutional lender, together with all collateral therefor.

"Leasehold Mortgagee" means the holder of any Leasehold Mortgage from time to time, including the Construction Lender, and each of their respective successors and assigns, designees and nominees, and any purchaser at a foreclosure sale or transferee pursuant to a deed in lieu of foreclosure, in each case that has delivered to Landlord a written notice designating an address for notices under Section 19.1.

"Construction Lender" means Bayside Federal Lending Corp., a Connecticut-chartered commercial bank, and its successors and assigns.

"Lender Cure Period" has the meaning given in Section 9.5.

"Letter of Credit" has the meaning given in Section 8.2.

"Milestone" means each of Milestone 1, Milestone 2, Milestone 3 and Milestone 4 described in Section 3.3 and **Exhibit C**.

"Milestone Cure Period" means, with respect to a Milestone Default, the period of one hundred eighty (180) calendar days following Tenant's receipt of a Milestone Notice, as extended pursuant to Section 10.5(c).

"Milestone Default" means Tenant's failure to achieve Milestone 1 or Milestone 3 by the applicable Milestone Deadline, as such deadline is extended pursuant to Article 3.

"Milestone Deadline" means, with respect to each Milestone, the corresponding deadline set forth in Section 3.3 and Exhibit C, as extended pursuant to Section 3.4.

"Memorandum of Lease" means the Memorandum of Ground Lease substantially in the form attached as Exhibit G, to be recorded in the Port Calloway Land Records pursuant to Section 2.10.

"Permitted Uses" means the uses of the Premises permitted under Section 15.2.

"Milestone Notice" has the meaning given in Section 10.5(a).

"New Lease" has the meaning given in Section 9.6.

"Permitted Exceptions" means the matters described on **Exhibit B** and such other exceptions as are approved in writing by Tenant and each Leasehold Mortgagee.

"Permitted Transfers" has the meaning given in Section 11.3.

"Person" means any individual, corporation, limited liability company, partnership, joint venture, trust, estate, governmental authority or other entity.

"Pre-Existing Environmental Condition" means any condition of the Premises arising from acts, omissions or operations occurring before the Lease Commencement Date, including the presence of Hazardous Materials in soil, soil gas, groundwater, sediment or fill; any condition identified in the Phase I Environmental Site Assessment dated March 15, 2025 or the Phase II Environmental Site Assessment dated May 2, 2025; any condition attributable to the former ship repair and dry dock

operations conducted on the Premises from approximately 1942 through 1987, to the former underground storage tanks formerly located in the northwest corner of the Premises, to the filled former dry dock basin, or to the demolition, grading or remedial activities conducted by or for Landlord; and any condition subject to or arising under the ELUR.

"Public Open Space" means the not less than eight thousand (8,000) square feet of publicly accessible open space to be provided on the waterfront (eastern) side of the Premises in accordance with Section 14.4.

"Related Lender" means any Leasehold Mortgagee and any participant, co-lender, assignee or affiliate of a Leasehold Mortgagee, and any trustee, receiver or servicer acting for any of them.

"Remediation Credit" has the meaning given in Section 7.2.

"Rent" means, collectively, Base Rent, Percentage Rent and all other sums payable by Tenant to Landlord under this Lease, whether or not denominated as rent.

"Rent Commencement Date" means the earlier of (a) the date that is thirty-six (36) months after the Lease Commencement Date (being October 1, 2028 if the Lease Commencement Date is October 1, 2025), and (b) the Rent Trigger Date, if any, determined in accordance with Section 2.5.

"Rent Reset Date" means each of Lease Years 16, 26, 36, 46, 56, 66, 76, 86 and 96.

"ROFR" has the meaning given in Section 11.5.

"Security Deposit" means the security deposit described in Article 8, whether held in the form of a Letter of Credit or as a cash deposit.

"SNDA" means a subordination, non-disturbance and attornment agreement between Landlord, Tenant and a Leasehold Mortgagee, containing not less than the terms set forth on **Exhibit F**.

"Substantial Completion" means, with respect to Phase 1, the issuance of a Certificate of Occupancy for the Residential Tower and the ground-floor retail space such that the Residential Tower is ready for residential occupancy and the retail space is available for tenant fit-out, and with respect to Phase 2, the issuance of a Certificate of Occupancy for the Office Building, in each case notwithstanding the completion of punch-list items, minor incomplete work, and outstanding tenant fit-out work.

"Tax Abatement" means the fifteen (15) year phased abatement of real property taxes applicable to the Project described in Section 6.6.

"Tax Abatement Agreement" means the agreement between Tenant and the City of Port Calloway, approved by all requisite action of the City of Port Calloway, implementing the Tax Abatement.

"Term" means the term of this Lease described in Section 2.2.

"Termination Date" means the effective date of any termination of this Lease.

"Trade Fixtures" means Tenant's movable furniture, trade fixtures, equipment, appliances, signage, inventory and personal property that are not incorporated into the Improvements and that can be removed without material structural damage.

"Unreimbursed Hard Costs" means, as of any date, the aggregate hard construction costs actually incurred and paid by Tenant or its Affiliates in connection with the design, permitting, construction, restoration and equipping of the Improvements (including the cost of the Environmental Remediation Work to the

extent borne by Tenant and not offset by the Remediation Credit), net of (a) all insurance proceeds, condemnation awards and other recoveries theretofore received by or for the account of Tenant in respect of the Improvements and not applied to restoration, and (b) any amount funded by Landlord or the City of Port Calloway, all as substantiated by Tenant's construction records, draw schedules, invoices and paid contractor applications.

1.2. **Interpretation.** In this Lease, unless the context otherwise requires: (a) the words "include," "includes" and "including" are deemed to be followed by "without limitation"; (b) "hereof," "herein" and "hereunder" refer to this Lease as a whole; (c) references to Articles, Sections and Exhibits are to this Lease; (d) headings and the table of contents are for convenience only and do not affect interpretation; (e) references to any statute or regulation include any successor provision and the rules and regulations promulgated thereunder; (f) references to "days" are to calendar days unless Business Days are specified; (g) "$" and "Dollars" mean United States dollars; (h) the singular includes the plural and vice versa; and (i) this Lease has been negotiated between sophisticated parties with the assistance of counsel and shall not be construed against either party as the drafter.

1.3. **No Strict Construction Against Either Party.** Landlord has been represented by Pryor Whitfield & Koss LLP and Tenant has been represented by Hargrove & Linden LLP in the negotiation of this Lease, and no rule of construction resolving ambiguities against the drafting party shall be applied.

ARTICLE 2 — PREMISES; TERM; CONDITIONS PRECEDENT; DELIVERY

2.1. **Lease of the Premises.** Landlord hereby leases the Premises to Tenant, and Tenant hereby leases the Premises from Landlord, together with all rights, easements, privileges and appurtenances thereto, including the bulkhead and all riparian and waterfront rights appurtenant to the Premises to the extent permitted by Applicable Law, for the Term and subject to the Permitted Exceptions and the terms and conditions of this Lease. Landlord reserves no right to use, occupy or enter upon the Premises except as expressly provided in this Lease.

2.2. **Term.** The term of this Lease (the "**Term**") shall commence on the Lease Commencement Date and shall expire at 11:59 p.m. on September 30, 2124 (the "**Expiration Date**"), unless sooner terminated or extended in accordance with this Lease. The "**Lease Commencement Date**" shall be the later of (a) October 1, 2025, and (b) the date on which the conditions precedent set forth in Section 2.3 have been satisfied or waived in writing by the party entitled to the benefit thereof. No renewal, extension or purchase option is granted hereby except as expressly set forth in Section 2.7.

2.3. **Conditions Precedent to Lease Commencement.** The obligation of each party to proceed to the Lease Commencement Date is conditioned upon satisfaction (or written waiver by the party entitled to the benefit thereof) of the following on or before the Lease Commencement Date:

(a) Execution and delivery of this Lease by Landlord and Tenant, and adoption by the Board of Commissioners of Landlord of a resolution, in form reasonably satisfactory to Tenant, approving this Lease in its executed form and authorizing the Executive Director to execute and

deliver this Lease, the SNDA, the Memorandum of Lease and each New Lease required under Article 9;

(b) Delivery by Ridgepoint Title & Escrow Co. of a pro forma ALTA leasehold owner's policy (or an updated title commitment marked to issue) in the amount of not less than the total project cost, insuring Tenant's leasehold estate subject only to the Permitted Exceptions, with the ALTA 13-06 (Leasehold — Owner's) and environmental protection lien endorsements, and with the legal description corrected and conformed to **Exhibit A**;

(c) Delivery of a current ALTA/NSPS Land Title Survey of the Premises satisfactory to Tenant, each Leasehold Mortgagee and the title company, and dated not more than ninety (90) days prior to the Lease Commencement Date;

(d) Delivery by Tenant of the Letter of Credit (or the cash Security Deposit) required by Article 8;

(e) Execution and delivery by Landlord of the SNDA in favor of the Construction Lender, in the form required by Article 9 and **Exhibit F**, and recordation thereof;

(f) Execution and delivery by Landlord and the City of Port Calloway of the Tax Abatement Agreement in form and substance reasonably satisfactory to Tenant, providing for the Tax Abatement in accordance with Section 6.6;

(g) Receipt by Tenant of all governmental approvals, permits and authorizations necessary to commence the Project, including final site plan approval, zoning approvals, building permits (or confirmation that building permit applications have been accepted for review), coastal and tidal wetlands approvals, and environmental approvals from DEEP, including approval of the Soil Management Plan and any approval required under the ELUR for ground disturbance; and

(h) Discharge of record, or bonding in a manner reasonably satisfactory to Tenant, each Leasehold Mortgagee and the title company, of the mechanics' lien described in **Exhibit B**, Part 6, and delivery of evidence thereof.

If any condition precedent set forth in Section 2.3 (other than those set forth in Sections 2.3(a) and 2.3(h), which are conditions to Tenant's obligation only) has not been satisfied or waived by December 31, 2025, then either party may, by written notice to the other, elect to (i) extend the date for satisfaction to a date not later than March 31, 2026, or (ii) terminate this Lease, whereupon the Security Deposit shall be returned to Tenant and neither party shall have any further obligation except for those obligations that expressly survive termination. The Exclusivity Period under the Term Sheet shall be deemed extended to correspond to any such extension.

2.4. Pre-Commencement Access License and Permitting Rights. From and after the Effective Date and prior to the Lease Commencement Date, Landlord grants to Tenant and its consultants, surveyors, engineers, environmental scientists and contractors a non-exclusive license to enter upon the Premises for the purposes of survey, subsurface investigation, environmental sampling, geotechnical borings, bulkhead inspection, design, and the preparation and prosecution of permit applications, subject to Tenant's indemnity under Section 7.6 and Tenant's restoration of the Premises. Landlord shall, at Tenant's request and without charge, execute such consents, owner's authorizations, letters of

authorization and permit applications as are reasonably necessary for Tenant to obtain governmental approvals, and shall join in any application that requires the signature of the fee owner. Tenant's rights under this Section 2.4 shall not constitute a leasehold interest or an obligation to pay Rent.

2.5. Rent Commencement Date; Partial Occupancy Protection. The "**Rent Commencement Date**" shall be the earlier of (a) the date that is thirty-six (36) months after the Lease Commencement Date (which, if the Lease Commencement Date is October 1, 2025, is October 1, 2028) and (b) the Rent Trigger Date. The "**Rent Trigger Date**" means the first date on which Certificates of Occupancy have been issued for portions of the Project representing, in the aggregate, not less than fifty percent (50%) of the aggregate rentable square footage of all residential, office and retail space in the Project, determined on a building-by-building basis. If a Certificate of Occupancy is issued for less than such 50% threshold, no Rent shall accrue by reason thereof. During the period from the Lease Commencement Date to the Rent Commencement Date, Tenant shall have no obligation to pay Base Rent or Percentage Rent but shall be responsible for Impositions (subject to Article 6), insurance premiums and other carrying costs expressly allocated to Tenant under this Lease.

2.6. Lease Years and the Measurement Base. Lease Year 1 shall commence on the Rent Commencement Date. For the avoidance of doubt: (a) Base Rent escalations, Rent Reset Dates, the commencement of Percentage Rent and all other Lease Year-based economic provisions of this Lease shall be measured from the Rent Commencement Date and not from the Lease Commencement Date; and (b) the Milestones, the Tax Abatement and the periods under Sections 10.5 and 10.6 shall be measured from the Lease Commencement Date as expressly provided in those provisions.

2.7. No Renewal; Tenant's Extension Option. Tenant has no right to renew or extend the Term. [**Tenant position, to be negotiated:** Tenant shall have the right, exercisable by written notice delivered not less than twenty-four (24) months prior to the Expiration Date, to extend the Term for one (1) additional term of twenty-five (25) years on the same terms and conditions (including the then-current rent escalation and Percentage Rent mechanics, with the Breakpoint redetermined as provided in Section 5.3), provided that no Event of Default is then continuing. Any such extension shall be effected by a written supplemental lease, and Landlord shall execute and deliver the same within thirty (30) days following Tenant's notice.]

2.8. Landlord's Title and Authority. Landlord represents, warrants and covenants that (a) it holds good and marketable fee simple title to the Premises free and clear of all liens and encumbrances other than the Permitted Exceptions; (b) it has full right, power and authority under Connecticut General Statutes § 8-125 *et seq.* and its enabling resolutions to execute, deliver and perform this Lease and to grant the leasehold estate and the rights (including the New Lease right) contemplated hereby; (c) the execution, delivery and performance of this Lease have been duly authorized by all necessary action of its Board of Commissioners, and the resolutions effecting such authorization have not been amended, modified or rescinded; (d) no consent, approval or authorization of any governmental body is required in connection herewith that has not been obtained, other than as expressly described in Section 2.3; and (e) there is no existing lease, license, tenancy, option, right of first refusal (other than as

described on **Exhibit B** and in Article 11), or other agreement granting any Person any interest in or right to acquire any interest in the Premises.

2.9. Delivery Condition of the Premises. On the Lease Commencement Date, Landlord shall deliver, and Tenant shall accept, the Premises in their "AS IS, WHERE IS" condition, subject to the representations, warranties and covenants expressly set forth in this Lease and subject further to the following:

(a) Landlord shall have discharged (or bonded, or obtained affirmative insurance over) the mechanics' lien filed by Calloway Marine Demolition Inc. on April 3, 2025 in the amount of $187,500 and recorded at Volume 418, Page 302 of the Port Calloway Land Records, at Landlord's sole cost, and shall deliver the leasehold title policy without exception therefor. Tenant shall have no obligation in respect of such lien, which arose from work performed for Landlord before the Effective Date.

(b) Landlord shall, at its sole cost and expense, pay for the independent structural engineering assessment of the bulkhead recommended in the Phase II Environmental Site Assessment and shall, prior to the Lease Commencement Date, deliver such assessment to Tenant. [**Alternative position, to be negotiated:** Landlord shall repair or replace the bulkhead so as to put the approximately 480 linear feet of bulkhead and the associated backfill in a sound and watertight condition, including restoration of the approximately 40 linear feet of concrete cap removed by or for Landlord; and if Landlord fails to do so, Tenant may perform such work and receive a dollar-for-dollar credit against Base Rent (in addition to the Remediation Credit) for the reasonable cost thereof, together with interest at the Default Interest Rate.]

(c) Landlord shall deliver to Tenant all environmental reports, LUST records, UST closure records, DEEP correspondence, ELUR files, and building and zoning department files in Landlord's possession or control relating to the Premises.

2.10. Memorandum of Lease; Recording. Contemporaneously with the Lease Commencement Date, Landlord and Tenant shall execute, acknowledge and record in the Port Calloway Land Records a Memorandum of Ground Lease substantially in the form attached as **Exhibit G**, and each party shall execute and deliver such further recordable instruments (including any SNDA, New Lease, estoppel or subordination agreement) as the other party or any Leasehold Mortgagee may reasonably request. Tenant shall pay all recording fees; any Connecticut real estate conveyance tax payable upon the recording of this Lease shall be borne by Landlord except to the extent Applicable Law imposes it on Tenant. Neither party shall record this Lease itself without the written consent of the other party, except as required by Applicable Law or by any Leasehold Mortgagee.

ARTICLE 3 — DEVELOPMENT, MILESTONES AND FORCE MAJEURE

3.1. Tenant's Development Obligation. Tenant shall use commercially reasonable efforts, consistent with prudent development practice and subject to receipt of the permits and approvals described in Section 2.3, to design, permit, construct and complete the Project substantially in accordance with the approved plans and specifications, applicable zoning and building requirements, the ELUR, and this Lease. Tenant shall have no obligation to commence or complete

construction of any portion of the Project unless and until the conditions precedent in Section 2.3 have been satisfied or waived and the construction financing described in Recital E has closed.

3.2. Approval of Plans and Specifications. Tenant shall submit to Landlord for informational purposes the site plan and exterior design of the Project as and when submitted to the City of Port Calloway for site plan review. Landlord's review of the site plan and exterior design shall be limited to confirmation of compliance with the requirements of Section 15.2 (Permitted Uses), Section 14.4 (Public Open Space) and Section 14.5 (Affordable Housing) of this Lease, and Landlord shall respond within ten (10) Business Days after receipt of any submission, failing which Landlord's approval shall be deemed given. Landlord shall have no right to review or approve interior layouts, unit mix (subject to Section 14.5), tenant improvements, construction means and methods, or any other matter except as expressly stated in this Section 3.2.

3.3. Development Milestones. Tenant shall achieve each of the following Milestones by the corresponding Milestone Deadline (subject to extension as provided in Section 3.4):

Table 3.3 — Development Milestones (also set forth on Exhibit C)

Milestone	Requirement	Months from Lease Commencement	Milestone Deadline
Milestone 1	Commencement of Construction: the physical pouring of footings for at least one building within the Project, following issuance of all building permits necessary for such work	18 months	April 1, 2027
Milestone 2	Completion of Structural Frame of the Residential Tower (topping-out of structural steel and/or concrete frame)	42 months	April 1, 2029
Milestone 3	Substantial Completion of Phase 1 (Residential Tower and ground-floor retail)	60 months	October 1, 2030
Milestone 4	Substantial Completion of Phase 2 (Office Building)	84 months	October 1, 2032

The dates in the final column assume a Lease Commencement Date of October 1, 2025. If the Lease Commencement Date differs, each deadline shall be recalculated by adding the corresponding number of months to the actual Lease Commencement Date, and the resulting dates shall be set forth on **Exhibit C**.

3.4. Extensions of Milestone Deadlines. Each Milestone Deadline shall be extended as follows:

(a) **Force Majeure.** Day for day for each day of delay caused by a Force Majeure Event, up to an aggregate maximum extension of twelve (12) months across all Milestones.

(b) **Permitting Delays.** Day for day for each day of delay attributable to governmental permitting processes beyond Tenant's reasonable control (including delays in building, zoning, coastal, tidal wetlands, DEEP and ELUR-related approvals, and delays caused by appeals, third-party challenges or the absence of a quorum or meeting schedule of any governmental body), up to an aggregate maximum extension of six (6)

months. The aggregate extension under Sections 3.4(a) and 3.4(b) shall not exceed eighteen (18) months.

(c) **Landlord Delay.** Day for day for each day of Landlord Delay, without cap and in addition to the extensions under Sections 3.4(a) and 3.4(b).

(d) **Tenant's Optional Paid Extensions.** [**Tenant position, to be negotiated:** Tenant may, by written notice delivered to Landlord not less than thirty (30) days prior to the applicable Milestone Deadline, extend Milestone 1 and/or Milestone 3 for up to two (2) successive periods of six (6) months each, upon payment to Landlord of an extension fee of $[●] for each such period, which fee shall be in lieu of, and not in addition to, any claim for damages arising from the delay. Any such extension shall be recorded by supplemental memorandum.]

Tenant shall give Landlord written notice of any Force Majeure Event or permitting delay within thirty (30) days after Tenant becomes aware of it, describing in reasonable detail its expected effect, but any failure to give timely notice shall not prejudice Tenant's right to an extension except to the extent, and only to the extent, that Landlord is actually prejudiced thereby.

3.5. Failure to Achieve Milestone 2 or Milestone 4. Tenant's failure to achieve Milestone 2 or Milestone 4 by the applicable Milestone Deadline (as extended) shall not constitute an Event of Default, shall not give rise to any right of termination, reverter or forfeiture, and shall entitle Landlord only to written notice and consultation with Tenant regarding the reasons for the delay and Tenant's plan to achieve the Milestone. The parties acknowledge that Milestone 2 and Milestone 4 are schedule benchmarks and that the remedies in Article 10 are available only with respect to Milestone 1 and Milestone 3.

3.6. Phasing, Unit Mix and Changes. Tenant may construct the Project in phases, may vary the sequence of construction, may change the unit mix, unit count, amenity program and retail configuration, and may make any other change to the design, plans or specifications, in each case without Landlord's consent, provided that (a) the Project continues to comply with Section 4 (Permitted Uses), Section 14.4 (Public Open Space), Section 14.5 (Affordable Housing), Article 15 (Compliance with Laws) and the ELUR, and (b) no such change materially and adversely affects the structural integrity of the bulkhead or the public's rights under the pedestrian access easement described on **Exhibit B**.

3.7. Landlord Cooperation. Landlord shall cooperate in good faith with Tenant in connection with all permitting, approvals, utility applications, DEEP filings, coastal and floodplain approvals, and filings with the tax assessor, including by executing owner's authorizations, consents to the ELUR or Soil Management Plan, consents to subdivision or lot line adjustment if required, and any other instrument reasonably requested by a governmental authority, in each case within ten (10) Business Days after request and without charge.

3.8. No Landlord Funding Obligation. Except as expressly provided in Article 7 (Remediation Credit) and Section 6.8 (Tax Abatement Backstop), Landlord shall have no obligation to fund any portion of the cost of the Project, the Environmental Remediation Work or the Public Open Space.

ARTICLE 4 — BASE RENT, ESCALATIONS AND RENT RESETS

4.1. **Covenant to Pay Rent.** From and after the Rent Commencement Date and throughout the balance of the Term, Tenant shall pay Base Rent and all other Rent to Landlord in lawful money of the United States, without demand, notice, deduction or setoff except as expressly provided in this Lease. All Rent shall be paid by wire transfer of immediately available funds to the account designated by Landlord in writing.

4.2. **Initial Annual Base Rent.** The initial annual Base Rent shall be **Two Million Eight Hundred Fifty Thousand Dollars ($2,850,000)** (approximately $20.45 per square foot per annum based on 139,392 square feet), payable in equal monthly installments of **Two Hundred Thirty-Seven Thousand Five Hundred Dollars ($237,500)**, commencing on the Rent Commencement Date and continuing through Lease Year 5. Base Rent shall be due on the first day of each calendar month, in advance.

4.3. **Fixed Escalations (Lease Years 1 through 15).** Base Rent shall escalate by two and one-half percent (2.5%) per annum, compounding annually, effective as of the first day of Lease Year 6 and the first day of Lease Year 11, in accordance with the following schedule (which schedule, together with Exhibit D, Part 1, controls in the event of any arithmetical inconsistency in the text of this Section 4.3):

Table 4.3 — Base Rent, Lease Years 1 through 15 (see also Exhibit D, Part 1)

Lease Years	Annual Base Rent	Monthly Installment	Computation
1 through 5	$2,850,000	$237,500.00	Initial annual Base Rent
6 through 10	$3,224,513	$268,709.45	$2,850,000 × (1.025)^5
11 through 15	$3,648,241	$304,020.08	$2,850,000 × (1.025)^10

The amounts stated in the Term Sheet ($3,224,500 and $3,648,200, respectively) were rounded. The parties have recomputed the amounts specified in this Section 4.3 from the initial annual Base Rent and the stated 2.5% compounding rate, and the resulting amounts are $3,224,513 (a difference of $13 per annum) and $3,648,241 (a difference of $41 per annum). The parties agree that the schedule above reflects their intent that Base Rent escalate at exactly 2.5% per annum, compounded annually, from the initial annual Base Rent.

4.4. **Rent Resets (Lease Year 16 and Thereafter).** Effective as of the first day of each Rent Reset Date, Base Rent shall be reset to the greater of:

(a) the amount that would result from the continued application of the two and one-half percent (2.5%) per annum compounding fixed escalation to the initial annual Base Rent of $2,850,000, calculated as of the applicable Rent Reset Date; and

(b) the initial annual Base Rent of $2,850,000, adjusted by the cumulative percentage increase in the Consumer Price Index for All Urban Consumers, Northeast Region (CPI-U Northeast, Series ID CUUR0100SA0), as published by the United States Bureau of Labor Statistics, **from the Rent Commencement Date** through the Rent Reset Date.

The following provisions shall apply to each Rent Reset:

(c) **Base month.** The base index month for each calculation shall be the third calendar month preceding the Rent Commencement Date, and the reset index month shall be the third calendar month preceding the applicable Rent Reset Date.

(d) **No reduction; no compounding of reset amounts.** Base Rent shall not be reduced as a result of any Rent Reset, and the escalation under Section 4.4(a) shall be computed from the initial annual Base Rent and not from any previously reset amount.

(e) **Successor index.** If the CPI-U Northeast ceases to be published, or if its methodology is materially revised, the parties shall use the most comparable successor index published by the Bureau of Labor Statistics, or if none, an index reasonably selected by Landlord and approved by Tenant (not to be unreasonably withheld).

(f) **Dispute resolution.** If the parties disagree as to the amount of any reset, Tenant may pay Base Rent at the level determined by Tenant in good faith pending resolution, and any shortfall shall be paid within thirty (30) days after resolution, without interest or penalty.

(g) **Landlord's records.** Landlord shall deliver to Tenant its calculation of each reset not less than sixty (60) days prior to the applicable Rent Reset Date.

*[**Tenant position, to be negotiated:** Because Sections 4.4(a) and 4.4(b) each index from the initial annual Base Rent, Base Rent will be flat for each ten-year period and then increase by the full cumulative index in a single step on each Rent Reset Date (approximately 28% at 2.5% annual inflation). Tenant proposes, in the alternative, that Base Rent be adjusted annually on each anniversary of the Rent Commencement Date by the greater of (i) 2.0% and (ii) the increase in the CPI-U Northeast, subject to a collar of 0% floor and 4.0% ceiling, compounded annually. Tenant's alternative is economically equivalent over the Term at long-run average inflation but eliminates the reset cliffs and improves debt-service coverage stability for each Leasehold Mortgagee.]*

4.5. **Payment Mechanics; Partial Months.** If the Rent Commencement Date or any Rent Reset Date is not the first day of a calendar month, the Rent for the partial month shall be prorated on a per diem basis. Tenant's obligation to pay Rent is an independent covenant.

4.6. **Setoff.** Notwithstanding Section 4.1, Tenant may set off against Base Rent next coming due (a) any amount due from Landlord under Section 6.8 (Tax Abatement Backstop), Section 7.5 (environmental indemnity) or Section 2.9(b) (bulkhead credit), in each case together with interest at the Default Interest Rate; (b) any amount reasonably and in good faith determined by Tenant to be owed by Landlord under this Lease that Landlord has failed to pay within thirty (30) days after written demand; and (c) any amount expended by Tenant to cure a Landlord default under Section 10.10. Tenant shall give simultaneous written notice of any setoff to each Leasehold Mortgagee, and no setoff shall exceed, in any single month, twenty-five percent (25%) of the monthly Base Rent then due unless Landlord has failed to pay a liquidated amount within sixty (60) days after written demand.

4.7. **Late Payment; Interest.** Any installment of Rent not received within five (5) Business Days after its due date shall bear interest from the due date at a rate equal to the lesser of (a) the prime rate published in *The Wall Street Journal* plus four percent (4%) per annum and (b) the maximum rate permitted by

Applicable Law (the "**Default Interest Rate**"). Interest shall accrue on a daily basis. No late charge shall be imposed except as provided in this Section 4.7. Landlord shall provide written notice of any delinquency and a period of five (5) Business Days to cure before any monetary default is deemed to exist.

4.8. **Application of Payments.** Landlord shall apply all payments received first to costs and interest then due, then to the most recently accrued Rent. Landlord may not apply any payment to a disputed amount while a dispute is pending under Section 20.2.

4.9. **Rent Absolutely Net.** Except as expressly provided in Article 6, Article 7, Section 10.10 and Article 13, this Lease is intended to be a "triple-net" lease, and Tenant shall pay all costs and expenses relating to the Premises and the Improvements, and Landlord shall receive the Rent free of any deduction, abatement, counterclaim or setoff.

ARTICLE 5 — PERCENTAGE RENT AND GROSS REVENUES

5.1. **Percentage Rent.** Commencing with Lease Year 6 and continuing for the balance of the Term, Tenant shall pay to Landlord, as additional Rent, percentage rent equal to **two percent (2.0%) of Gross Revenues in excess of the Breakpoint** for the applicable Lease Year ("**Percentage Rent**") (see Exhibit D, Parts 3 and 4). Percentage Rent shall be payable annually, within ninety (90) days after the end of each Lease Year, together with the statement required by Section 5.4. No Percentage Rent shall be payable for any period prior to Lease Year 6.

5.2. **Gross Revenues.** "**Gross Revenues**" means the gross rents, fees, charges and other income actually collected by Tenant and its Affiliates from the operation of the Project, determined on a cash basis and at the Project level only (and excluding any income of Tenant or its Affiliates from any other property or business). Gross Revenues **include** only: residential rents; office rents; retail rents; percentage rent and overage rent paid by subtenants; parking revenues; amenity and service fees; and rent from cell tower, rooftop, signage and similar licenses. Gross Revenues **exclude**, without limitation:

(a) security deposits (unless and until applied to rent in accordance with the applicable sublease);

(b) reimbursements from subtenants for common area maintenance, real estate taxes, insurance, utilities, operating expenses, capital expenditures or other pass-throughs that are not true revenue to Tenant;

(c) utility reimbursements and recoveries of any kind;

(d) proceeds of insurance (including business interruption and rent loss insurance), condemnation awards, and proceeds of any warranty, guaranty, indemnity or litigation;

(e) interest and other income earned on reserves, escrows and deposits;

(f) loan proceeds, capital contributions, member loans and other financing or equity inflows;

(g) proceeds from the sale or other disposition of any asset, and any gain on sale;

(h) rent attributable to any period before the Rent Commencement Date, and any free rent, abated rent, concessions, tenant improvement allowances or similar inducements, valued at the amount actually collected;

(i) amounts billed but not collected, and any rent that Tenant determines in good faith to be uncollectible, provided that any subsequent collection shall be included in Gross Revenues for the Lease Year of collection;

(j) sales, use, excise and other taxes collected from subtenants and remitted to taxing authorities;

(k) the value of any real property tax abatement, exemption or incentive, including the Tax Abatement;

(l) charges for after-hours HVAC, overtime services and other services billed at cost;

(m) subtenant security forfeitures and late fees (except to the extent applied to rent);

(n) any amount received from Landlord, the City of Port Calloway or any other governmental authority; and

(o) any other item that is not true, recurring operating revenue of the Project from third parties.

No deduction shall be taken more than once, and Gross Revenues shall be determined without regard to any straight-lining, leveling or GAAP rent-adjustment convention.

5.3. Breakpoint Adjustment. The Breakpoint shall be **$28,500,000** for Lease Year 6. Effective as of the first day of each Rent Reset Date thereafter, the Breakpoint shall be reset to an amount equal to $28,500,000 multiplied by a fraction, the numerator of which is the Base Rent payable for the Lease Year commencing on such Rent Reset Date and the denominator of which is $3,224,513 (being the Base Rent for Lease Year 6), such that the ratio of the Breakpoint to Base Rent in effect for Lease Year 6 is preserved for the balance of the Term.

*[**Tenant position, to be negotiated.** The Term Sheet fixes the Breakpoint at $28,500,000 "for the duration of the Lease Term." Because Base Rent escalates while the Breakpoint does not, a fixed Breakpoint erodes in real terms from approximately 8.8 times Base Rent in Lease Year 6 to less than 1.0 times Base Rent by Lease Year 96 (see the model in the accompanying issues memorandum). At that point Percentage Rent operates as a tax on substantially all gross revenue rather than a sharing of upside. Tenant proposes the indexing mechanic above. Tenant's fallback positions, in order of preference, are: (i) index the Breakpoint to the CPI-U Northeast on the same schedule as the Rent Resets; (ii) step the Percentage Rent rate down over time (2.0% for Lease Years 6–25; 1.5% for Lease Years 26–50; 1.0% thereafter); or (iii) cap aggregate Percentage Rent in any Lease Year at an amount equal to twenty-five percent (25%) of Base Rent for such Lease Year.]*

5.4. Statements. Each payment of Percentage Rent shall be accompanied by a statement of Gross Revenues for the applicable Lease Year, certified as true and correct in all material respects by an authorized financial officer of Tenant, setting forth in reasonable detail the computation of Gross Revenues, each exclusion taken, and the resulting Percentage Rent. If no Percentage Rent is payable, Tenant shall deliver a statement so indicating. Tenant shall maintain complete and accurate books and records relating to Gross Revenues for not less than three (3) years after the end of each Lease Year.

5.5. Accounting Principles. Gross Revenues shall be determined in accordance with sound and consistent accounting practices applied uniformly from year to year, on a cash basis, consistently with Tenant's audited project-level financial statements. Where this Lease and such practices conflict, this Lease controls.

5.6. Landlord's Audit Right. Landlord may, not more than once in any twelve (12) month period and not more than once with respect to any Lease Year, and upon not less than thirty (30) days' prior written notice, cause an independent certified public accountant reasonably acceptable to Tenant to audit Tenant's books and records relating to Gross Revenues for any Lease Year ending not more than twenty-four (24) months before the date of the notice. Each audit shall be conducted during normal business hours at Tenant's principal place of business, shall be limited in scope to the determination of Gross Revenues, shall be conducted under a customary confidentiality undertaking, and shall be at Landlord's sole cost and expense unless the audit discloses an underpayment of Percentage Rent of five percent (5%) or more for the audited Lease Year, in which case Tenant shall reimburse Landlord's reasonable, documented out-of-pocket audit costs. No auditor shall be compensated on a contingency basis. Landlord shall have no right to audit Tenant's consolidated or affiliate-level records.

5.7. Overpayment; Underpayment. If any statement or audit shows an overpayment, Tenant may credit the overpayment against the next installment(s) of Rent. If any statement or audit shows an underpayment, Tenant shall pay the shortfall within thirty (30) days after delivery of the audit, without interest unless the underpayment exceeds five percent (5%) of the Percentage Rent properly payable, in which case interest shall accrue at the Default Interest Rate from the original due date.

5.8. Confidentiality of Financial Statements. Landlord shall treat all statements and audit results delivered under this Article 5 as confidential and shall not disclose them except (a) to its commissioners, officers, employees, attorneys, auditors and financial advisors who need to know, (b) as required by the Connecticut Freedom of Information Act or other Applicable Law, or (c) in connection with the enforcement of this Lease. Landlord shall, prior to any disclosure under clause (b), notify Tenant and cooperate with Tenant's reasonable efforts to obtain confidential treatment.

ARTICLE 6 — IMPOSITIONS AND THE TAX ABATEMENT

6.1. Triple-Net Obligation. Subject to Sections 6.3 and 6.8, Tenant shall pay, before delinquency and without demand, all Impositions levied or assessed against the Premises, the Improvements, the leasehold estate, or this Lease, and all Impositions asserted against Landlord arising from Landlord's ownership of the Premises (other than Landlord's income, franchise, inheritance and transfer taxes).

6.2. Impositions. "**Impositions**" means all ad valorem real property taxes, general and special assessments, benefit assessments, sewer, water and utility charges, business improvement district charges, and any other governmental charge, fee or imposition of every kind now or hereafter levied upon the Premises, the Improvements or the leasehold estate, together with all interest and penalties thereon, and including Tenant's share of any assessment benefiting the Premises.

6.3. **Exclusions.** Impositions shall **not** include: (a) Landlord's income, franchise, inheritance, estate, gift, corporate or transfer taxes; (b) any tax or charge based on Landlord's net income or receipts (other than any rent or receipts tax expressly measured by rent from the Premises and imposed on the landlord as such); (c) any principal, interest or other amounts payable under any mortgage or other financing of Landlord; (d) any charge arising from Landlord's own act, negligence or violation of Applicable Law, or from any condition existing before the Lease Commencement Date; (e) any penalty or interest attributable to Landlord's failure to deliver a bill or notice to Tenant within a reasonable time; and (f) any documentary stamp, conveyance or recording tax payable on the recording of this Lease or the Memorandum of Lease, which shall be borne by Landlord except as provided in Section 2.10.

6.4. **Contest and Payment.** Tenant may, at its sole cost and in its own name or, if required, in Landlord's name (with Landlord's reasonable cooperation and without expense to Landlord), contest by appropriate proceedings the validity or amount of any Imposition, and may defer payment during the pendency of any such contest provided that Tenant furnishes such security as is reasonably required to prevent delinquency, lien or sale. Tenant may pay any special assessment in installments over the longest period permitted by Applicable Law. Landlord shall deliver to Tenant copies of all tax bills, assessment notices and assessor communications within ten (10) Business Days after receipt.

6.5. **Proration.** Impositions for the fiscal year in which the Lease Commencement Date, the Rent Commencement Date, the Termination Date or the Expiration Date occurs shall be prorated between Landlord and Tenant as of such date on a per diem basis based on the bills for the applicable fiscal year (or, if not yet issued, on the most recent available bills, subject to reproration).

6.6. **Tax Abatement.** Landlord shall cause the City of Port Calloway to grant to Tenant a fifteen (15) year phased abatement of real property taxes applicable to the Premises and the Improvements, pursuant to which the taxable portion of the Assessor's assessed value of the Premises and the Improvements shall be as follows for each year of the Tax Abatement Period:

Table 6.6 — Tax Abatement Schedule (estimated amounts are illustrative only)

Years of Tax Abatement Period	Percentage of Assessed Value Subject to Tax	Estimated Annual Taxes at Projected $178,000,000 Assessed Value and 34.75 Mills
1 through 5	25%	$1,546,375
6 through 10	50%	$3,092,750
11 through 15	75%	$4,639,125
16 and thereafter	100% (no abatement)	$6,185,500

The dollar amounts in the third column are estimates computed from the Authority's projected post-development assessed value of $178,000,000 and the current mill rate of 34.75 mills, as stated in the Term Sheet. The abatement shall apply to the assessed value actually determined by the Port Calloway Tax Assessor from time to time, and the parties acknowledge that actual assessed values and mill rates will vary over the Term. In no event shall the percentage of assessed value subject to tax in any year of the Tax Abatement Period exceed the applicable percentage set forth above.

6.7. **Abatement Commencement Date.** The "**Tax Abatement Period**" shall be the fifteen (15) consecutive full fiscal years of the City of Port Calloway commencing

on the "**Abatement Commencement Date**," which shall be the later of (a) the Rent Commencement Date and (b) the first day of the City of Port Calloway fiscal year in which the first assessment by the Port Calloway Tax Assessor that reflects the completed Improvements becomes effective. The parties agree that the Tax Abatement is intended to benefit Tenant during the operating years of the Project and that no portion of the Tax Abatement Period shall be consumed during the construction period before the Improvements are reflected in the tax assessment.

6.8. **Tax Abatement Backstop.** If (a) the Tax Abatement Agreement has not been executed and delivered by the City of Port Calloway on or before the Lease Commencement Date, (b) the Tax Abatement is not implemented in accordance with Section 6.6 for any fiscal year during the Tax Abatement Period, or (c) the Tax Abatement is repealed, reduced, suspended or otherwise rendered ineffective in whole or in part (unless caused solely by Tenant's failure to comply with the conditions of the Tax Abatement Agreement), then Tenant shall be entitled to a credit against the next installments of Base Rent in an amount equal to the excess of (i) the real property taxes actually payable by Tenant for the affected fiscal year over (ii) the taxes that would have been payable had the Tax Abatement been implemented in accordance with Section 6.6, and Landlord shall reimburse Tenant for any such excess that cannot be so credited within thirty (30) days after written demand. Landlord shall not support, petition for or consent to any repeal, reduction or suspension of the Tax Abatement during the Tax Abatement Period.

6.9. **Landlord's Undertakings.** Landlord acknowledges that the Tax Abatement is to be granted and administered by the City of Port Calloway and not by Landlord. Landlord shall use diligent efforts to obtain all approvals and authorizations necessary to implement the Tax Abatement, including any required action of the Port Calloway Board of Finance, the City Council, the Port Calloway Tax Assessor and the Connecticut Office of Policy and Management, and shall notify Tenant promptly of any condition, hearing or approval required. Landlord shall render all assistance reasonably requested by Tenant in connection with any application, hearing, appeal, assessment challenge or administrative proceeding relating to the Tax Abatement or the assessment of the Premises.

ARTICLE 7 — ENVIRONMENTAL MATTERS AND THE REMEDIATION CREDIT

7.1. **Acknowledgments.** The parties acknowledge that (a) the Premises were operated as a ship repair and dry dock facility from approximately 1942 through 1987; (b) the Phase II Environmental Site Assessment dated May 2, 2025 identified petroleum hydrocarbon contamination in an approximately 4,200 square foot area in the northwest corner of the Premises (maximum total petroleum hydrocarbons of 3,800 mg/kg) and an approximately 1,600 square foot area in the former dry dock area (maximum total petroleum hydrocarbons of 1,200 mg/kg), in each case exceeding the Connecticut Remediation Standard Regulations Residential Direct Exposure Criteria of 500 mg/kg; (c) the Halcyon cost estimate of $2,400,000 ($1,850,000 for the northwest corner area and $550,000 for the former dry dock area) is a preliminary, opinion-level estimate and not a guaranteed maximum price; (d) the ELUR imposes use restrictions, engineered barrier requirements, ground disturbance limitations, a prohibition

on potable water supply wells, and annual compliance certification obligations; and (e) all of the foregoing constitute Pre-Existing Environmental Conditions for which Tenant bears no responsibility except as expressly allocated in this Article 7.

7.2. **Remediation Credit.** Landlord shall provide to Tenant a credit against Base Rent in the aggregate amount of **One Million Eight Hundred Thousand Dollars ($1,800,000)** (the "**Remediation Credit**"), which shall be applied against the first monthly installments of Base Rent due after the Rent Commencement Date as follows:

Table 7.2 — Application of the Remediation Credit

Monthly Installment after Rent Commencement Date	Base Rent Due	Remediation Credit Applied	Tenant Payment
Months 1 through 7	$237,500 each	$237,500 each ($1,662,500 total)	$0
Month 8	$237,500	$137,500	$100,000
Month 9 and thereafter	$237,500 (subject to escalation)	None	$237,500

The Remediation Credit shall not reduce or be reduced by any other credit, offset or abatement under this Lease, including the Tax Abatement Backstop under Section 6.8. If this Lease expires or is terminated for any reason before the Remediation Credit has been fully applied, Landlord shall pay to Tenant, in cash within thirty (30) days after the Expiration Date or Termination Date, the amount of the Remediation Credit that remains unapplied. If Base Rent is insufficient to absorb the Remediation Credit in any month (by reason of setoff, abatement or otherwise), Tenant may apply the unabsorbed portion against any other Rent next coming due, and Landlord shall pay any remainder in cash within thirty (30) days after written demand. The Remediation Credit is a payment obligation of Landlord and not merely a rent concession, and it survives any termination of this Lease.

7.3. **Environmental Remediation Work.** Tenant shall perform, or cause to be performed, the excavation and off-site disposal of contaminated soil in the two areas identified in the Phase II Environmental Site Assessment, together with such additional investigation, remediation, confirmation sampling, backfill, capping, monitoring and reporting as is required to achieve compliance with the Connecticut Remediation Standard Regulations and the ELUR and to obtain a DEEP approval of the remediation (collectively, the "**Environmental Remediation Work**"). The Environmental Remediation Work shall be performed in conjunction with the Project's site development earthwork where practicable, under a DEEP-approved Remedial Action Plan and Soil Management Plan, and under the oversight of a Licensed Environmental Professional engaged by Tenant. Tenant shall deliver to Landlord copies of the Remedial Action Plan, the Soil Management Plan, all confirmation sampling results and any post-remediation verification report within ten (10) Business Days after submission to or receipt from DEEP.

7.4. **Allocation of Environmental Costs.** The cost of the Environmental Remediation Work shall be allocated as follows:

(a) Landlord shall bear $1,800,000 of the estimated cost through the Remediation Credit, and Tenant shall bear the remaining $600,000 of the $2,400,000 estimate, in each case as set forth in Section 7.2.

(b) Subject to Sections 7.4(c) and 7.4(d), Tenant shall bear actual costs of the Environmental Remediation Work in excess of $2,400,000.

(c) Landlord shall bear all costs of the Environmental Remediation Work attributable to a Pre-Existing Environmental Condition that was not identified, delineated or quantified in the Phase II Environmental Site Assessment, including contamination discovered outside the two delineated areas, contamination extending beyond the depths described in the Phase II report, off-site migration, sediment or groundwater impacts, contamination attributable to the former underground storage tanks or the dry dock beyond the delineated areas, and any DEEP-imposed requirement (including any requirement to remediate to unrestricted-use or Residential Direct Exposure Criteria, or to address the engineered barrier as a condition of ground disturbance) that was not contemplated by the Phase II Environmental Site Assessment, and Landlord shall reimburse Tenant for such costs within thirty (30) days after written demand with supporting documentation.

(d) Tenant shall bear the incremental costs of the Environmental Remediation Work attributable to Tenant's design, means and methods, or the negligent or improper performance of the work (including, for example, over-excavation required by Tenant's below-grade parking configuration beyond that required by Applicable Law, but excluding the volume of contaminated soil and fill that must be removed or managed to comply with Applicable Law and the ELUR in connection with Tenant's approved development program).

(e) If the actual cost of the Environmental Remediation Work is less than $2,400,000, Tenant shall retain the benefit of the difference; the Remediation Credit is a fixed dollar amount and shall not be reduced by reason of any such saving.

7.5. Landlord Environmental Indemnity. Landlord shall indemnify, defend (with counsel reasonably acceptable to Tenant) and hold harmless Tenant, its members, managers, officers, employees, agents, contractors and each Leasehold Mortgagee from and against all claims, liabilities, losses, damages, penalties, fines, costs and expenses (including reasonable attorneys' and consultants' fees, and natural resource damages) arising out of or relating to (a) any Pre-Existing Environmental Condition, (b) any violation of Environmental Laws or the ELUR occurring before the Lease Commencement Date, (c) any act or omission of Landlord or its predecessors, agents or contractors with respect to Hazardous Materials at the Premises, (d) Landlord's failure to perform its obligations under this Article 7, and (e) any claim by a third party (including any former owner or operator of the Premises or any governmental authority) relating to any of the foregoing. Landlord's obligations under this Section 7.5 shall not be limited by, and shall be in addition to, the Remediation Credit.

7.6. Tenant Environmental Indemnity. Tenant shall indemnify, defend and hold harmless Landlord from and against all claims, liabilities, losses, damages, costs and expenses arising out of or relating to (a) Hazardous Materials introduced at, on, under or migrating from the Premises by Tenant or its agents, contractors, subtenants or invitees after the Lease Commencement Date, (b) Tenant's failure to perform the Environmental Remediation Work in compliance with Environmental Laws, the ELUR and this Lease, and (c) Tenant's breach of this Article 7. Tenant's indemnity shall not apply to any Pre-Existing Environmental

Condition or to any matter for which Landlord is obligated to indemnify Tenant under Section 7.5. Tenant's aggregate liability under this Section 7.6 shall not exceed [**Tenant position:** $[●], escalated annually by the CPI-U Northeast, together with available environmental insurance proceeds].

7.7. ELUR Compliance. Tenant shall, at its sole cost, comply with all restrictions, obligations and activity and use limitations of the ELUR for the Term, including (a) maintaining an engineered barrier consisting of not less than twenty-four (24) inches of documented clean fill or an equivalent geomembrane/concrete barrier system over all areas requiring a barrier; (b) conducting annual inspections of the barrier; (c) reporting any breach or compromise of the barrier to DEEP within thirty (30) days after discovery and repairing it within ninety (90) days after discovery (or such longer period as DEEP may approve); (d) performing no ground disturbance below a depth of two (2) feet below existing grade except in accordance with a DEEP-approved Soil Management Plan; (e) installing no potable water supply wells on the Premises and obtaining all water supply from the municipal water system; (f) submitting the annual ELUR compliance certification to DEEP; and (g) giving DEEP notice of any change in use as required by the ELUR. Landlord shall cooperate with and join in any filing or certification that requires the signature of the fee owner, within ten (10) Business Days after request.

7.8. Ground-Floor Uses; ELUR Interpretation. The parties acknowledge the interpretive ambiguity identified in the Phase II Environmental Site Assessment regarding whether non-habitable ancillary spaces serving a residential tower (including a residential lobby, mail room, package room, resident lounge, fitness center and leasing office) constitute "residential use" for purposes of the ELUR, which prohibits residential use on the ground floor. Landlord acknowledges that this Lease permits such ancillary spaces and ground-floor retail and commercial uses, and agrees that:

(a) Landlord shall, at Tenant's request, join in and support an application to DEEP for a formal interpretation, variance or modification of the ELUR to confirm the permissibility of the ground-floor lobby, amenity and retail program contemplated by this Lease, and Landlord shall bear the reasonable costs of such application (including DEEP fees and third-party consultant costs) to the extent the application is required solely because of the Pre-Existing Environmental Condition.

(b) If DEEP determines that any portion of Tenant's ground-floor program constitutes residential use prohibited by the ELUR, Tenant may redesign that portion of the Project to comply, and any resulting delay shall constitute a Force Majeure Event and a permitting delay for purposes of Section 3.4, and Tenant shall not be in default hereunder by reason thereof.

(c) For the avoidance of doubt, Tenant's design shall place all dwelling units on floors two (2) and above, and the Project's finished floor elevation at the ground-floor level shall be not less than fifteen (15) feet NAVD88, as required by Section 15.3.

7.9. Environmental Insurance. Tenant shall maintain pollution legal liability insurance satisfying Section 12.1(f). All proceeds of any environmental insurance applicable to a Pre-Existing Environmental Condition shall be applied first to the cost of the Environmental Remediation Work, and Tenant shall be

entitled to a credit against Base Rent for any such proceeds applied to costs that Tenant would otherwise have borne.

7.10. Landlord's Access and Monitoring. Landlord and its consultants may, upon not less than five (5) Business Days' prior notice and subject to Tenant's reasonable construction and safety requirements, inspect the Premises and review Tenant's environmental records not more than twice in any calendar year, at Landlord's cost, and subject to a customary confidentiality undertaking. Landlord shall not perform any invasive sampling or ground disturbance without Tenant's prior written consent.

7.11. Survival. The obligations of the parties under this Article 7 shall survive the expiration or termination of this Lease for so long as any claim may be asserted.

ARTICLE 8 — SECURITY DEPOSIT AND LETTER OF CREDIT

8.1. Security Deposit. On or before the Lease Commencement Date, Tenant shall deliver to Landlord a security deposit in the amount of **Five Million Seven Hundred Thousand Dollars ($5,700,000)**, equal to twenty-four (24) monthly installments of the initial Base Rent ($237,500 × 24), as security for the performance of Tenant's obligations under this Lease. The Security Deposit is not an advance payment of Rent, is not a measure or liquidation of Landlord's damages, and shall not be commingled with Landlord's other funds.

8.2. Form. The Security Deposit shall be provided, at Tenant's election, in the form of (a) an irrevocable standby letter of credit substantially in the form attached as **Exhibit E**, naming Landlord as beneficiary, drawable in Connecticut or by facsimile or electronic presentation, and permitting partial draws and multiple draws and reinstatements (the "**Letter of Credit**"); or (b) cash deposited with an escrow agent reasonably acceptable to Landlord and each Leasehold Mortgagee. Tenant's election under this Section 8.2 shall be made no later than thirty (30) days prior to the Lease Commencement Date.

8.3. Issuer Requirements. Any Letter of Credit shall be issued by a commercial bank organized under the laws of the United States or any state thereof that (a) has a long-term issuer credit rating of not less than A- from Standard & Poor's Ratings Services or A3 from Moody's Investors Service, Inc. (or an equivalent rating from a nationally recognized rating agency), or (b) is a federally chartered banking institution with capital and surplus of not less than $[●]. If the rating of the issuing bank falls below the required level, Tenant shall deliver a replacement Letter of Credit from a qualifying issuer within sixty (60) days after written notice from Landlord, and such failure shall not constitute an Event of Default until the expiration of such sixty (60) day period.

8.4. Reduction of the Security Deposit. The Security Deposit shall be reduced to **Two Million Eight Hundred Fifty Thousand Dollars ($2,850,000)** upon Tenant's demonstration, to Landlord's reasonable satisfaction, that the Project has achieved and maintained an Occupancy Rate of ninety percent (90%) or greater for twenty-four (24) consecutive full calendar months (the "**Reduction Threshold**"). The following procedures and definitions shall govern:

(a) **Occupancy Rate** means, as of any date, the quotient (expressed as a percentage) obtained by dividing (i) the aggregate rentable square footage of all residential, office and retail space in the Project that is subject to a bona fide lease or occupancy agreement under which rent is

being paid or a free-rent period is in effect, by (ii) the aggregate rentable square footage of all residential, office and retail space in the completed portions of the Project, in each case measured on a consistent basis. Residential square footage shall be the net rentable area of the dwelling units, exclusive of common areas and corridors. A Project that is not fully constructed shall be tested only with respect to completed buildings for which a Certificate of Occupancy has been issued.

(b) **Demonstration.** Tenant shall deliver to Landlord (i) a certified rent roll as of the last day of the twentieth-fourth consecutive month, (ii) a certificate of an authorized financial officer of Tenant certifying the Occupancy Rate calculation, and (iii) such supporting documentation as Landlord may reasonably request. Landlord shall respond within thirty (30) days after receipt; failure to object in writing within such period shall constitute approval.

(c) **Implementation.** Within ten (10) Business Days after Tenant's satisfaction of the Reduction Threshold, Landlord shall execute and deliver such instruments (including an amendment to the Letter of Credit) as are necessary to effect the reduction, and shall return any excess cash Security Deposit. Tenant may deliver a replacement Letter of Credit in the reduced amount in lieu of an amendment.

(d) **No reinstatement.** The reduced Security Deposit shall not be increased by reason of any subsequent decline in occupancy, and the reduced amount shall remain the Security Deposit for the balance of the Term, subject only to Section 8.6 (replenishment following a draw).

8.5. **Draws.** Landlord may draw upon the Letter of Credit (or apply the cash Security Deposit) only (a) after the occurrence of an Event of Default that remains uncured after the expiration of all applicable notice and cure periods (including the Lender Cure Periods under Section 9.5), and (b) only to the extent of amounts then due and payable and unpaid, or Documented Damages finally determined as provided in Section 10.7. Landlord may not draw on account of any amount that Tenant disputes in good faith while the dispute is pending under Section 20.2, and may not draw the entire Security Deposit as a consequence of any single Event of Default except to the extent of amounts finally determined. Landlord shall give simultaneous written notice of any draw to each Leasehold Mortgagee. Any amount drawn shall be applied to Tenant's obligations under this Lease and not to any other purpose.

8.6. **Replenishment.** If Landlord lawfully draws upon the Security Deposit, Tenant shall, within thirty (30) days after written demand (accompanied by a written statement of the amount drawn and its application), restore the Security Deposit to the required amount. Tenant's failure to do so within such period, if continuing for ten (10) Business Days after a second written notice, shall constitute an Event of Default.

8.7. **Transfer; Return.** Landlord may transfer the Security Deposit to any successor owner of Landlord's interest in the Premises, and upon such transfer and written notice to Tenant and each Leasehold Mortgagee, Landlord shall be released from further liability with respect thereto. Within thirty (30) days after the later of the Expiration Date (or earlier Termination Date) and the satisfaction of all of Tenant's obligations, Landlord shall return the Security Deposit to Tenant, together with any interest accrued on a cash deposit.

8.8. Renewal; Expiration. If the Letter of Credit has a stated expiration date, Tenant shall deliver a renewal or replacement not later than thirty (30) days prior to its expiration, or shall cause the Letter of Credit to be an evergreen letter of credit that automatically renews for successive one-year periods unless the issuer gives not less than sixty (60) days' prior written notice of non-renewal. Failure to deliver a renewal or replacement shall constitute an Event of Default only if such failure continues for ten (10) Business Days after written notice from Landlord and any Leasehold Mortgagee.

8.9. No Landlord Lien; No Waiver. Tenant's delivery of the Security Deposit shall not create any lien or security interest in favor of Landlord in any property of Tenant other than the Security Deposit, and Landlord hereby waives any statutory or contractual landlord's lien, distraint or right of levy against Tenant's personal property or the Improvements.

ARTICLE 9 — LEASEHOLD FINANCING; LENDER PROTECTIONS; SNDA; NEW LEASE

The provisions of this Article 9 are material inducements to Tenant's execution of this Lease and to the closing of the construction financing for the Project. The parties acknowledge that the requirements of this Article 9 equal or exceed the ground lease requirements of the Construction Lender and are intended to satisfy the requirements of any institutional lender that may hold a Leasehold Mortgage at any time during the Term. Each Leasehold Mortgagee is an express third-party beneficiary of this Article 9 and of Sections 10.5, 10.6 and 10.7, and may enforce those provisions directly.

9.1. Right to Encumber. Tenant may, at any time and from time to time, without the consent, approval or joinder of Landlord and without the payment of any consent fee, administrative charge or other compensation to Landlord: (a) grant one or more Leasehold Mortgages encumbering all or any portion of Tenant's leasehold interest in the Premises and the Improvements; (b) collaterally assign this Lease, all subleases, leases, rents, revenues, permits, contracts and plans; (c) pledge the direct and indirect ownership interests in Tenant; and (d) grant such other security as any lender may require. No consent, approval or other condition of Landlord shall be required for the granting, recording, enforcement, refinancing or foreclosure of any Leasehold Mortgage. Each Leasehold Mortgage shall be permitted to encumber the entire leasehold estate created by this Lease, together with all Improvements, fixtures and appurtenances now or hereafter located on the Premises.

9.2. Designation of Leasehold Mortgagees. Tenant may designate one or more Leasehold Mortgagees under this Lease. Each Leasehold Mortgagee shall deliver to Landlord a written notice specifying its name, address for notices, the amount of its loan and the collateral securing it, and may update such information from time to time. Landlord shall recognize each Leasehold Mortgagee so designated. There is no limit on the number of Leasehold Mortgagees, nor on the number of refinancings, restructurings or recapitalizations of the leasehold financing during the Term.

9.3. Notices to Leasehold Mortgagees. Landlord shall deliver to each Leasehold Mortgagee, simultaneously with delivery to Tenant (and in any event no later than the delivery to Tenant), a copy of every notice of default, notice of termination, notice of Milestone Default, notice of intended termination or non-renewal, notice of casualty or condemnation, notice of any proceeding affecting

the Premises, and every other notice, consent, approval, statement, estoppel or instrument delivered to Tenant under this Lease. Notices to each Leasehold Mortgagee shall be delivered to the address designated under Section 9.2 and to its counsel as designated. Any notice of default or termination not delivered to each Leasehold Mortgagee in accordance with this Section 9.3 shall be void and of no effect.

9.4. No Surrender, Amendment or Termination Without Mortgagee Consent. For so long as any Leasehold Mortgage remains in effect, Landlord shall not accept a voluntary surrender or cancellation of this Lease, and Landlord and Tenant shall not amend, modify, supplement or terminate this Lease in any material respect, without the prior written consent of each Leasehold Mortgagee. Any purported surrender, amendment, modification, supplement or termination effected without such consent shall be void and of no force or effect as against each Leasehold Mortgagee, and this Lease shall continue in full force and effect as if such purported surrender, amendment, modification, supplement or termination had not occurred.

9.5. Lender Cure Periods. No termination of this Lease and no exercise of any remedy by Landlord that would extinguish or impair any Leasehold Mortgage shall be effective unless and until Landlord has delivered the required notices to each Leasehold Mortgagee and the following cure periods (each, a "**Lender Cure Period**") have expired without cure:

(a) **Monetary Defaults.** Sixty (60) days from the date of the Leasehold Mortgagee's receipt of notice of the monetary default to cure the default on behalf of Tenant.

(b) **Non-Monetary Defaults.** Ninety (90) days from the date of the Leasehold Mortgagee's receipt of notice of the non-monetary default to cure the default, or, if such cure cannot reasonably be completed within ninety (90) days, to commence cure within such ninety (90) day period and thereafter diligently and continuously prosecute such cure to completion.

(c) **Milestone Defaults.** One hundred eighty (180) days commencing upon the expiration of the Milestone Cure Period, during which the Leasehold Mortgagee may cure the Milestone Default, including by (i) causing the applicable Milestone to be achieved, (ii) advancing funds to Tenant or to a replacement developer to achieve the Milestone, (iii) installing a replacement developer, general contractor or property manager reasonably acceptable under Section 9.7, or (iv) causing Tenant's interest under this Lease to be transferred to the Leasehold Mortgagee or its designee in accordance with Section 9.7.

Each Lender Cure Period shall run in addition to, and not concurrently with, any cure period afforded to Tenant, and Landlord shall accept performance by a Leasehold Mortgagee with the same effect as performance by Tenant. A Leasehold Mortgagee may cure any default without curing all defaults and without being deemed to have assumed any of Tenant's obligations. Landlord shall give each Leasehold Mortgagee written notice of the commencement and expiration of each Lender Cure Period.

9.6. New Lease. If this Lease is terminated for any reason whatsoever, including without limitation a Milestone Default, any other Event of Default by Tenant, surrender, rejection in bankruptcy, or operation of law (each, a "**Termination Event**"), then each Leasehold Mortgagee (or its designee) shall have the right,

upon written request delivered to Landlord within sixty (60) days after such Leasehold Mortgagee's receipt of notice of the Termination Event, to enter into a new ground lease of the Premises with Landlord (a "**New Lease**") on the following terms:

(a) **Term.** The New Lease shall be for the remainder of the Term of this Lease (as if this Lease had not been terminated), without reduction, together with any extension right then available under Section 2.7.

(b) **Terms.** The New Lease shall be on the same terms and conditions as this Lease, modified only to the extent necessary to (i) reflect the identity of the new tenant, (ii) delete provisions that are inapplicable because the applicable default has been cured, (iii) state that the New Lease is effective as of the Termination Date, (iv) provide that the Leasehold Mortgagee (or its designee) assumes Tenant's obligations prospectively from the effective date of the New Lease and is not liable for any obligation, liability or default of Tenant arising before such date (other than the cure obligations described below), and (v) eliminate any improvement-forfeiture, reverter or security deposit forfeiture provisions.

(c) **Cure.** The Leasehold Mortgagee (or its designee) shall cure all monetary defaults existing under this Lease within sixty (60) days after the effective date of the New Lease, and all non-monetary defaults reasonably susceptible of cure within ninety (90) days after the effective date of the New Lease, or, if any such non-monetary default cannot reasonably be cured within such period, shall commence cure within ninety (90) days and thereafter diligently and continuously pursue cure to completion, but in no event later than one hundred eighty (180) days after the effective date of the New Lease.

(d) **Execution.** Landlord shall execute, acknowledge, deliver and record the New Lease within thirty (30) days after the Leasehold Mortgagee's written request, and the New Lease shall be effective as of the Termination Date. Landlord shall not require any consent, fee, payment, guaranty, credit support or other condition in connection with the New Lease, other than the cure obligations in Section 9.6(c).

(e) **Priority and Subleases.** The New Lease shall have a priority in all respects equal to the priority of this Lease, and all subleases, licenses and occupancy agreements entered into by Tenant or any subtenant before the Termination Event shall be recognized by Landlord under the New Lease, and Landlord shall take the Premises subject thereto.

(f) **No ROFR.** Neither Landlord's right of first refusal under Section 11.5 nor any consent, notice or other requirement of Article 11 shall apply to the New Lease or to any assignment by a Leasehold Mortgagee in connection with the exercise of its rights under this Article 9.

(g) **Pre-Authorization; Enforceability.** Landlord covenants that it shall include in the resolution approving this Lease an express authorization of its obligation to execute and deliver a New Lease in accordance with this Section 9.6 and of its obligation to pay the Improvement Payment under Section 10.6, and that no further action of its Board of Commissioners shall be required to permit or give effect to either obligation. Landlord acknowledges that each Leasehold Mortgagee is relying on this Section 9.6 in making its loan, and that the Leasehold Mortgagee shall be entitled to specific performance of this Section 9.6 and to damages for its breach.

(h) **Effect on Seniority of Landlord's Fee.** Nothing in this Section 9.6 shall subordinate Landlord's fee interest in the land, but Landlord's fee interest shall in all events remain subject to the New Lease.

9.7. Foreclosure and Assignment. Each Leasehold Mortgagee shall have the unconditional right to foreclose on the leasehold interest (whether by judicial foreclosure, power of sale, strict foreclosure, or otherwise) or to accept a deed or assignment in lieu of foreclosure, and to assign this Lease to a qualified transferee at or following any foreclosure sale or deed-in-lieu transfer, without the prior consent of Landlord and without triggering the ROFR under Section 11.5 or any other right of Landlord. A transferee shall be deemed qualified if it (a) is a Person with not less than [**Tenant position:** $[●] of net worth] or assets under management, (b) has demonstrable experience in owning and operating comparable mixed-use properties or waterfront development, or (c) is a Leasehold Mortgagee or an affiliate or designee thereof or any institutional investor, pension fund, real estate investment trust, insurance company, bank or opportunity fund or an affiliate of any of them. Landlord shall not unreasonably withhold, condition or delay recognition of any such transferee as Tenant, shall execute and deliver any estoppel, recognition agreement, SNDA or other document reasonably requested by a Leasehold Mortgagee within ten (10) Business Days, and shall not charge any fee in connection therewith.

9.8. Bankruptcy Protections. If Tenant becomes a debtor in any proceeding under Title 11 of the United States Code or any similar state insolvency law:

(a) this Lease shall not terminate, and Landlord shall have no right to terminate this Lease or to exercise any remedy, solely by reason of the commencement of such proceeding (and any provision of this Lease purporting to terminate this Lease upon such a filing shall be void to the extent unenforceable under 11 U.S.C. § 365(e));

(b) each Leasehold Mortgagee shall have the right to request that any trustee, debtor-in-possession or other party in interest assume or reject this Lease in a timely manner consistent with 11 U.S.C. § 365, and to cure any defaults and provide adequate assurance of future performance on behalf of Tenant to the extent necessary to prevent rejection;

(c) Tenant and any trustee shall not reject this Lease without the prior written consent of each Leasehold Mortgagee, and Landlord shall not oppose any election by any Leasehold Mortgagee under 11 U.S.C. § 365(h) or the counterpart provisions applicable to the leasehold mortgagee; and

(d) the New Lease right under Section 9.6 shall survive any rejection of this Lease in bankruptcy to the fullest extent permitted by Applicable Law, and Landlord shall recognize each Leasehold Mortgagee's right to obtain a New Lease notwithstanding such rejection. The parties acknowledge that the New Lease right is intended to be a property interest of each Leasehold Mortgagee enforceable notwithstanding 11 U.S.C. § 365(h) and § 365(i).

9.9. SNDA. Landlord shall, simultaneously with or prior to the first advance of any loan secured by a Leasehold Mortgage, and at any later time upon the request of any Leasehold Mortgagee, execute, acknowledge, deliver and record an SNDA containing not less than the terms set forth on **Exhibit F**, including (a) Landlord's acknowledgment of the existence and priority of the Leasehold

Mortgage; (b) Landlord's agreement not to disturb the Leasehold Mortgagee's security interest or the rights of any purchaser at foreclosure or transferee by deed in lieu of foreclosure; (c) Landlord's agreement to recognize the Leasehold Mortgagee or its designee or purchaser as Tenant under this Lease or the New Lease; and (d) provisions relating to casualty, condemnation, insurance and condemnation proceeds. Landlord shall have no obligation to subordinate its fee interest in the land, and nothing in any SNDA shall be construed to do so. Landlord's failure to deliver an SNDA within ten (10) Business Days after request shall constitute a Landlord Event of Default curable only by delivery, and Tenant may obtain specific performance.

9.10. Refinancing and Recapitalization Cooperation. Landlord shall, without charge, within ten (10) Business Days after request, execute, acknowledge and deliver such estoppel certificates, consents, recognition agreements, SNDAs, subordination and non-disturbance agreements, financing statements, memoranda, and other instruments as Tenant or any Leasehold Mortgagee or prospective lender may reasonably request in connection with any financing, refinancing, securitization, syndication or recapitalization during the Term, in each case in form reasonably satisfactory to Landlord and consistent with this Lease. Landlord's obligations under this Section 9.10 shall not be limited in number of transactions.

9.11. Landlord's Fee Interest. Landlord shall not mortgage, pledge, encumber, sell or otherwise transfer its fee interest in the land during the Term without (a) delivering to Tenant and each Leasehold Mortgagee a subordination, non-disturbance and attornment agreement from the transferee or lender, in form reasonably satisfactory to Tenant and each Leasehold Mortgagee, providing that this Lease and the New Lease right shall not be disturbed, and (b) giving Tenant not less than thirty (30) days' prior written notice. Any transfer of Landlord's fee interest shall be subject to this Lease in all respects.

ARTICLE 10 — DEFAULTS, REMEDIES AND MILESTONE TERMINATION

10.1. Tenant Events of Default. Each of the following shall constitute an Event of Default by Tenant, subject in each case to the notice and cure provisions of Article 9 and this Article 10:

(a) Tenant's failure to pay any installment of Base Rent or Percentage Rent within ten (10) Business Days after written notice from Landlord that such amount is past due;

(b) Tenant's failure to pay any other monetary obligation (other than Base Rent or Percentage Rent) within fifteen (15) days after written notice from Landlord;

(c) Tenant's failure to perform or observe any material non-monetary obligation under this Lease within thirty (30) days after written notice specifying the failure, or, if the failure cannot reasonably be cured within thirty (30) days, Tenant's failure to commence cure within such period and thereafter diligently prosecute it to completion;

(d) a Milestone Default, subject to Sections 10.5 and 10.6;

(e) Tenant's failure to maintain the Security Deposit in accordance with Article 8;

(f) Tenant's failure to maintain the insurance required by Article 12, which failure continues for ten (10) days after written notice;

(g) an assignment, sublease or transfer in violation of Article 11;

(h) the filing of a voluntary petition in bankruptcy by Tenant, the entry of an order for relief against Tenant in an involuntary proceeding that is not dismissed within sixty (60) days, or Tenant's making a general assignment for the benefit of creditors, in each case subject to and limited by Section 9.8; and

(i) any material misrepresentation by Tenant in this Lease or in any certificate delivered under it, which misrepresentation remains uncured (to the extent curable) for thirty (30) days after written notice.

No Event of Default shall exist under Sections 10.1(a), (b) or (c) unless and until Landlord has given the applicable written notice and the applicable cure period has expired. Landlord shall deliver a copy of every such notice simultaneously to each Leasehold Mortgagee. Landlord may not declare an Event of Default under Section 10.1(a) or (b) more than twice in any period of twelve (12) consecutive months without giving a cure period of thirty (30) days.

10.2. Landlord Events of Default. Each of the following shall constitute an Event of Default by Landlord if not cured within the applicable period after written notice from Tenant (with a copy to each Leasehold Mortgagee):

(a) Landlord's failure to pay any amount due to Tenant under this Lease within ten (10) Business Days after written notice;

(b) Landlord's failure to perform or observe any material obligation under this Lease within thirty (30) days after written notice, or, if the failure cannot reasonably be cured within thirty (30) days, Landlord's failure to commence cure within such period and thereafter diligently prosecute it to completion;

(c) Landlord's failure to deliver any SNDA, estoppel certificate, consent, approval, New Lease or other instrument within the period specified in this Lease (or, if no period is specified, within ten (10) Business Days after written request), which failure shall be curable only by delivery;

(d) Landlord's failure to cause the Tax Abatement Agreement to be executed and delivered in accordance with Section 6.8, or any breach of Section 6.8;

(e) Landlord's failure to discharge the mechanics' lien described in Section 2.9(a);

(f) any breach of Landlord's representations, warranties or covenants in Article 18 or Section 2.8 that is not cured within thirty (30) days after written notice; and

(g) Landlord's breach of Article 9.

10.3. Landlord's Remedies. Upon the occurrence and during the continuance of an Event of Default by Tenant, Landlord may, subject in all respects to Article 9 and Section 10.5:

(a) terminate this Lease by written notice, but only after the expiration of all applicable notice and cure periods, including the Milestone Cure Period and each Lender Cure Period;

(b) draw upon the Security Deposit only to the extent permitted by Section 8.5;

(c) recover from Tenant, as damages (and not as a penalty), an amount equal to the Documented Damages determined under Section 10.7;

(d) if the Event of Default is a Milestone Default, exercise the remedy set forth in Sections 10.5 and 10.6, which shall be Landlord's sole and exclusive remedy for a Milestone Default; and

(e) pursue specific performance of Tenant's obligations (other than an obligation to expend money) and any other remedy available at law or in equity consistent with this Lease.

Landlord shall have **no** right to declare the entire balance of future Rent immediately due and payable, and no right to forfeit the Improvements except as set forth in Sections 10.5 and 10.6. Landlord's remedies are cumulative except that, as to a Milestone Default, Sections 10.5 and 10.6 are the sole and exclusive remedy of Landlord.

10.4. Tenant's Remedies. Upon the occurrence and during the continuance of an Event of Default by Landlord, Tenant may: (a) cure the default on Landlord's behalf and set off the reasonable cost thereof, together with interest at the Default Interest Rate, against Rent as provided in Section 4.6; (b) seek specific performance of Landlord's obligations, including the obligation to execute a New Lease, an SNDA or an estoppel, and the parties agree that the remedy of specific performance shall be available notwithstanding that damages may be an adequate remedy; (c) recover actual direct damages; (d) suspend performance of Tenant's obligations under this Lease to the extent caused by Landlord's default; and (e) terminate this Lease upon sixty (60) days' written notice if a Landlord Event of Default remains uncured and renders the Premises unusable for the Permitted Uses, in which case Tenant shall be entitled to the Improvement Payment determined under Section 10.6 as if the Termination Date were a termination under Section 10.5.

10.5. Milestone Default; Termination Procedure. The following procedure shall apply to any Milestone Default, and shall supersede and control over any provision of this Lease or the Term Sheet that would cause this Lease to terminate automatically:

(a) **Milestone Notice.** Landlord may deliver to Tenant (and simultaneously to each Leasehold Mortgagee) a written notice specifying the Milestone Default, the Milestone and Milestone Deadline asserted, the factual basis for the assertion, and Landlord's calculation of any extensions under Section 3.4. A notice that does not satisfy these requirements shall be ineffective.

(b) **Tenant Cure.** Tenant shall have one hundred eighty (180) calendar days following its receipt of a valid Milestone Notice to cure the Milestone Default by achieving the applicable Milestone (the "**Milestone Cure Period**").

(c) **Extension of Cure Period.** The Milestone Cure Period shall be extended by any period during which Tenant is prevented from achieving the applicable Milestone by a Force Majeure Event, a permitting delay, Landlord Delay or the exercise by a Leasehold Mortgagee of its rights under Section 9.5.

(d) **Lender Cure Period.** Following the expiration of the Milestone Cure Period, each Leasehold Mortgagee shall have the Lender Cure Period described in Section 9.5(c).

(e) **Election.** If the Milestone Default remains uncured upon the expiration of all of the foregoing periods, Landlord may elect to terminate this Lease only by written notice delivered to Tenant and each Leasehold Mortgagee within thirty (30) days after the expiration of the last such period. If Landlord does not so elect within such thirty (30) day period, Landlord shall be deemed to have waived that Milestone Default, and Landlord may not thereafter terminate this Lease or exercise any other remedy on account of it.

(f) **No Automatic Termination.** This Lease shall **not** terminate automatically upon the occurrence of a Milestone Default or the expiration of any cure period. Termination shall occur only upon Landlord's valid election under Section 10.5(e), and shall be effective as of the date specified in Landlord's notice, which shall be not earlier than the date of the notice.

(g) **Conditions to Termination.** Notwithstanding any election by Landlord, no termination of this Lease on account of a Milestone Default shall be effective unless and until each of the following has been satisfied: (i) all notices required by Sections 9.3 and 10.5 have been delivered to each Leasehold Mortgagee; (ii) each Lender Cure Period has expired without cure; (iii) the period for a Leasehold Mortgagee to request a New Lease under Section 9.6 has expired without a request, or each Leasehold Mortgagee has waived its New Lease right in writing; (iv) the Improvement Payment has been paid in full or is secured in the manner provided in Section 10.6(c) or Section 10.6(d); and (v) Landlord is not then in default of any of its obligations under this Lease.

(h) **No Termination After Substantial Completion.** Landlord shall have no right to terminate this Lease on account of a failure to achieve Milestone 3 if Substantial Completion of Phase 1 has been achieved before the effective date of any such termination, notwithstanding the existence of punch-list items or incomplete tenant fit-out, and any such termination shall be void.

(i) **Wrongful Termination.** If Landlord purports to terminate this Lease on account of a Milestone Default other than in strict compliance with this Section 10.5, such termination shall be void, Tenant may obtain specific performance and injunctive relief, and Landlord shall indemnify Tenant and each Leasehold Mortgagee for all resulting losses, including financing costs, carry costs and lost profits.

10.6. Improvement Payment upon Termination for Milestone Default. If this Lease is terminated on account of a Milestone Default in accordance with Section 10.5, then, as a condition to the effectiveness of such termination and in consideration of the transfer to Landlord of Tenant's Improvements and leasehold estate:

(a) **Payment Obligation.** Landlord shall pay to Tenant (or, at Tenant's direction, to each Leasehold Mortgagee in accordance with its interest) an amount (the "**Improvement Payment**") equal to **the greater of** (i) the Appraised Value of the Improvements as of the Termination Date, determined in accordance with Section 10.8, and (ii) Tenant's

Unreimbursed Hard Costs; less (iii) all insurance proceeds, condemnation awards and other recoveries theretofore received by or for the account of Tenant in respect of the Improvements and not applied to restoration; and less (iv) Landlord's Documented Damages determined in accordance with Section 10.7.

(b) **Expression of Intent.** The parties agree that the Improvement Payment is intended to insure that Landlord does not acquire the Improvements, and the substantial value represented by them, without compensation, and that the Improvement Payment does not exceed a reasonable forecast of Landlord's compensable interest and is not a penalty. The parties further agree that Landlord's actual damages arising from a Milestone Default are limited to delay in the receipt of Rent and the other items described in Section 10.7, and that the uncompensated retention of Improvements having a value of $200,000,000 or more would bear no reasonable relationship to those damages.

(c) **Security and Possession.** Landlord shall pay the Improvement Payment within sixty (60) days after the Termination Date. At Tenant's election, Landlord's obligation shall be secured by a first-priority lien and security interest on the Improvements and on Landlord's right to receive Rent under any replacement lease, evidenced by a deed of trust, mortgage or security agreement in form reasonably satisfactory to Tenant. Landlord shall not be entitled to take possession of the Improvements, to lease them to a third party, or to record any instrument asserting title to them, until the Improvement Payment has been paid in full or secured in accordance with this Section 10.6(c).

(d) **Escrow Alternative.** At Tenant's election, Landlord shall deposit the Improvement Payment in escrow with a nationally recognized title company or escrow agent pending determination of the Appraised Value, whereupon Landlord may take possession subject to the escrow.

(e) **New Lease Prevails.** If a Leasehold Mortgagee exercises its New Lease right under Section 9.6, no Improvement Payment shall be due, and this Lease shall be deemed to have been continued in the form of the New Lease.

(f) **Successors; Subleases; Continuing Obligations.** Upon any such termination, Landlord shall take the Premises and the Improvements subject to (i) the ELUR and all Environmental Laws, (ii) the affordable housing covenant described in Section 14.5 and the recorded Declaration of Restrictive Covenants described on **Exhibit B**, (iii) all subleases, occupancy agreements and residential tenancies then in effect, which Landlord shall recognize and honor, (iv) all utility, access and operating easements reasonably necessary for the operation of the Improvements, and (v) the public's rights under the pedestrian access easement and the Public Open Space obligations. Landlord shall assume the obligations of the landlord under such subleases prospectively and shall indemnify Tenant against any liability arising from Landlord's ownership or operation of the Improvements after the Termination Date.

(g) **Survival; Enforcement.** Landlord's obligation to pay the Improvement Payment shall survive the termination of this Lease, shall not be subject to any setoff, counterclaim or defense, and may be enforced by Tenant and by each Leasehold Mortgagee as an express third-party beneficiary.

10.7. Documented Damages. Landlord's "**Documented Damages**" for any Event of Default shall be limited to Landlord's actual, reasonable, documented out-of-pocket losses and costs proximately caused by the Event of Default, which, in the case of a Milestone Default, shall be limited to: (a) all Rent accrued and unpaid through the Termination Date; (b) an amount equal to twenty-four (24) monthly installments of Base Rent at the rate in effect on the Termination Date, representing Landlord's reasonable estimate of the ground rent lost during the period reasonably required to re-let the Premises on comparable terms; (c) Landlord's reasonable, documented costs of re-letting (including brokers' commissions, legal fees and tenant improvements, but excluding the cost of curing any condition for which Landlord is responsible); and (d) Landlord's reasonable, documented out-of-pocket enforcement costs and attorneys' fees. Documented Damages shall **exclude** any amount attributable to (i) the value of the Improvements, (ii) anticipated Percentage Rent, (iii) lost real property tax revenue or other governmental revenue, (iv) loss of the public benefits described in the Recitals, (v) any speculative or hypothetical development value, (vi) consequential, punitive or exemplary damages, and (vii) any amount that would constitute a penalty. In no event shall Documented Damages exceed the sum of clauses (a) through (d) above.

10.8. Appraisal Procedure. The Appraised Value of the Improvements shall be determined as follows:

(a) Within thirty (30) days after the Termination Date, Tenant and Landlord shall each appoint an independent appraiser who is a member of the Appraisal Institute (MAI) with not less than ten (10) years' experience in valuing mixed-use and waterfront properties in Connecticut, and shall instruct each appraiser to determine the fair market value of the Improvements, disregarding the remaining Term and the reversion and assuming the Improvements are fully leased and operating in the ordinary course.

(b) If the two appraisals differ by five percent (5%) or less of the higher, their average shall be the Appraised Value. Otherwise, the two appraisers shall appoint a third MAI appraiser meeting the same criteria, whose appraisal shall be the Appraised Value (and who shall not be limited to the range established by the first two appraisals).

(c) If either party fails to appoint an appraiser within such period, the appraiser appointed by the other party shall determine the Appraised Value.

(d) Each party shall bear the cost of its own appraiser, and the parties shall share equally the cost of the third appraiser. The determination shall be final and binding absent manifest error.

10.9. Security Deposit Not Forfeited. In no event shall Landlord be entitled to retain the Security Deposit as a forfeiture or penalty. Any draw upon the Security Deposit shall be applied only to Documented Damages or other amounts finally determined to be due, and any excess shall be returned to Tenant within thirty (30) days after final determination.

10.10. Tenant's Right to Cure. If Landlord fails to perform any obligation under this Lease, Tenant may, after the expiration of the applicable cure period, perform it on Landlord's behalf, and Landlord shall reimburse Tenant within thirty (30) days after written demand, with interest at the Default Interest Rate.

Tenant shall not be liable for any loss or damage to the Premises resulting from its performance in a reasonable and workmanlike manner.

10.11. Remedies Cumulative; No Waiver. Except as expressly provided in Section 10.3, the rights and remedies of the parties are cumulative and not exclusive. No failure or delay in exercising any right, and no acceptance of Rent with knowledge of a default, shall constitute a waiver of that default or of any other default. Landlord shall not be entitled to recover more than once for the same loss.

ARTICLE 11 — ASSIGNMENT, SUBLETTING, PERMITTED TRANSFERS AND RIGHT OF FIRST REFUSAL

11.1. Assignment. Tenant may not assign this Lease or any interest in it to a Person that is not an Affiliate of Tenant without Landlord's prior written consent, which consent shall not be unreasonably withheld, conditioned or delayed, and subject to the ROFR set forth in Section 11.5. Any purported assignment in violation of this Article 11 shall be void.

11.2. Subletting and Occupancy. Tenant may sublease or license individual dwelling units, office suites and retail spaces, and may grant occupancy rights, concessions, licenses (including parking licenses, cell tower and rooftop licenses, signage licenses and amenity memberships), and easements for utilities, access and services within the Premises, in the ordinary course of the operation of the Project, without Landlord's consent. A sublease of the entire Premises, or of substantially all of the Premises, to a single subtenant for a term extending beyond the Term shall require Landlord's consent, not to be unreasonably withheld, conditioned or delayed.

11.3. Permitted Transfers. Notwithstanding Sections 11.1 and 11.5, the following transfers (collectively, "**Permitted Transfers**") shall be permitted without Landlord's consent, without notice (except as provided in Section 11.3(j)) and without triggering the ROFR:

(a) any transfer, assignment or conveyance to an Affiliate of Tenant;

(b) any transfer of direct or indirect ownership interests in Tenant, including any sale, issuance, redemption, transfer, pledge, hypothecation or encumbrance of membership interests, and any change in the control, composition or identity of Tenant's members, managers or general partners;

(c) the pledge of one hundred percent (100%) of the membership interests in Tenant to any Leasehold Mortgagee, and any foreclosure, transfer in lieu of foreclosure, or exercise of remedies with respect to such pledged interests, and any resulting change in the ownership or control of Tenant;

(d) any assignment or transfer to a Leasehold Mortgagee, its designee, or any purchaser at foreclosure or transferee by deed in lieu of foreclosure, in accordance with Section 9.7;

(e) any grant of a Leasehold Mortgage, collateral assignment of leases and rents, or other financing encumbrance;

(f) any transfer resulting from the exercise of a buy-sell, put, call, drag-along, tag-along, right of first offer, right of first refusal or other right

under any joint venture, operating, partnership or shareholder agreement of Tenant or its members;

(g) any transfer to Coventry Capital Partners LP, any fund, vehicle, account or separate account managed or advised by Coventry Capital Partners LP or its affiliates, or any of their respective affiliates, subsidiaries, general partners or related funds;

(h) any recapitalization, refinancing, joint venture, syndication, securitization, conversion, merger, consolidation or internal reorganization of Tenant or its Affiliates, provided that Tenant's leasehold interest is not transferred to a third party that is unrelated to Marcus Ellison or Coventry Capital Partners LP in a transaction that would otherwise constitute an assignment for value;

(i) any transfer to a Person acquiring the leasehold interest in connection with a judicial or non-judicial foreclosure, a federal or state receivership, or a bankruptcy sale; and

(j) any transfer of the leasehold interest to an entity in which Marcus Ellison or Coventry Capital Partners LP (or their respective affiliates) holds a direct or indirect interest of not less than twenty percent (20%).

Tenant shall give Landlord written notice of any Permitted Transfer described in clause (a) above within thirty (30) days after its occurrence, and shall give Landlord written notice of any other Permitted Transfer within thirty (30) days after its occurrence for informational purposes only. No Permitted Transfer shall require the payment of any fee, the delivery of any guaranty, or any increase in the Security Deposit.

11.4. Consent Standard; Deemed Consent. Landlord's consent to an assignment (other than a Permitted Transfer) shall be requested in writing and accompanied by the identity of the proposed assignee, its financial statements and operating experience, and the material terms of the proposed assignment. Landlord shall respond within ten (10) Business Days after receipt of a complete request, failing which Landlord's consent shall be deemed given. Landlord may withhold consent only if the proposed assignee (a) does not have the financial capacity to perform Tenant's obligations, (b) lacks experience in owning or operating comparable properties, or (c) is a governmental entity or a Person that would, if the assignee became Tenant, adversely affect the Project's ability to obtain insurance or comply with Applicable Law. Landlord may not condition consent on any payment, fee, guaranty or increase in the Security Deposit.

11.5. Right of First Refusal. During the period from the Lease Commencement Date through September 30, 2045, if Tenant proposes to assign this Lease to a non-Affiliate for value (an "**Assignment for Value**"), Landlord shall have a right of first refusal (the "**ROFR**") to acquire the leasehold interest on the same terms and conditions as the proposed Assignment for Value, subject to the following:

(a) The ROFR shall apply **only** to a direct assignment of this Lease to a third party for a purchase price payable in cash or its equivalent. The ROFR shall **not** apply to any Permitted Transfer, to any transfer of direct or indirect ownership interests in Tenant, to any Leasehold Mortgage, foreclosure or deed-in-lieu, to any merger or consolidation, to any transfer in connection with a recapitalization or refinancing, or to any New Lease.

(b) Tenant shall deliver a written notice (a "**ROFR Notice**") setting forth the identity of the proposed assignee, the proposed purchase price and the other material terms, together with a copy of the executed letter of intent or purchase agreement. Landlord shall have sixty (60) days after receipt of the ROFR Notice to elect to acquire the leasehold interest by irrevocable written notice, and shall close the acquisition within sixty (60) days after its election (or concurrently with the proposed assignment, if later).

(c) Any acquisition by Landlord under the ROFR shall be subject to, and shall not impair, each Leasehold Mortgage, and shall be consummated only with the prior written consent of each Leasehold Mortgagee or upon payment in full of the indebtedness secured by each Leasehold Mortgage and release thereof. Landlord shall assume all of Tenant's obligations under this Lease prospectively.

(d) If Landlord does not elect within the sixty (60) day period, or elects but fails to close within the period specified in Section 11.5(b), the ROFR shall lapse as to that proposed Assignment for Value and Tenant may complete it on terms not materially more favorable to the assignee than those in the ROFR Notice. If Tenant does not complete the assignment within one hundred eighty (180) days after the ROFR lapses, the ROFR shall be reinstated.

(e) Landlord shall not be entitled to any fee, deposit or reimbursement in connection with the ROFR.

*[**Drafting flag:** The ROFR is also evidenced by a recorded Declaration of Right of First Refusal dated September 8, 2019, recorded at Volume 405, Page 55 of the Port Calloway Land Records, which, as noted in Exception No. 4 of Title Commitment TC-2025-07821, contains no carve-out for mortgagee foreclosure, deed-in-lieu transfers, or assignments by a Leasehold Mortgagee or its designee. The terms of this Section 11.5 cannot, as a matter of record notice, override the recorded instrument. Landlord shall, as a condition to the Lease Commencement Date, execute and record an amendment to the Declaration of Right of First Refusal conforming it to this Section 11.5, including the carve-outs in Sections 11.3 and 11.5(a) and (c).]*

11.6. No Release. No assignment or sublease shall release Tenant from its obligations under this Lease accruing before the effective date of the assignment, and any assignee shall assume all obligations accruing after such date. Failing delivery of an assumption agreement by an assignee other than a Permitted Transferee assignee, Tenant shall remain liable for all obligations under this Lease.

11.7. Charge of Control Not an Assignment. For the avoidance of doubt, no change in the direct or indirect ownership, composition or control of Tenant or any of its members shall constitute an assignment of this Lease or an interest in it, and neither Landlord's consent nor the ROFR shall apply to any such change.

ARTICLE 12 — INSURANCE

12.1. Tenant's Insurance Obligations. Throughout the Term, Tenant shall procure and maintain, at its sole cost and expense, with insurers licensed or authorized to do business in Connecticut and having a financial strength rating of not less than A-VIII from A.M. Best Company (or an equivalent rating from a nationally recognized rating agency), the following coverages:

(a) **Commercial General Liability** on an occurrence basis, with limits of not less than $10,000,000 per occurrence and $20,000,000 in the annual aggregate, covering bodily injury, property damage, personal and advertising injury, products-completed operations and contractual liability (including the indemnities in this Lease), and including a waiver of the insured-versus-insured exclusion as respects Landlord and each Leasehold Mortgagee;

(b) **All-Risk (Special Form) Property Insurance** on a replacement cost basis, without deduction for depreciation, covering the Improvements, including fire, windstorm, flood (as provided in Section 12.1(f)), earthquake, vandalism and malicious mischief, with an agreed amount endorsement, ordinance or law coverage, and a waiver of subrogation in favor of Landlord and each Leasehold Mortgagee;

(c) **Builder's Risk Insurance** on a completed value basis during construction of any phase of the Project, covering the full value of construction work in progress, materials and supplies stored on or off the Premises, with a soft-cost endorsement and, if available on commercially reasonable terms, a delay-in-opening endorsement;

(d) **Business Interruption and Rent Loss Insurance** covering not less than twelve (12) months of Base Rent and customary fixed operating expenses, with the proceeds payable to Tenant (and, to the extent of any assignment of rents, to each Leasehold Mortgagee as its interest may appear);

(e) **Environmental Liability / Pollution Legal Liability Insurance** with limits of not less than $5,000,000 per occurrence and $10,000,000 in the annual aggregate, covering claims arising from pollution conditions at, on, under or migrating from the Premises, including remediation costs, third-party bodily injury and property damage, and, to the extent available on commercially reasonable terms, covering Pre-Existing Environmental Conditions for a term consistent with the Term of this Lease;

(f) **Flood Insurance** as provided in Section 12.1(f); and

(g) **Workers' Compensation Insurance** as required by Connecticut law, and Employer's Liability Insurance with limits of not less than $1,000,000.

(f) **Flood Insurance.** Because the Premises lie entirely within FEMA Flood Zone AE (Base Flood Elevation 12 feet NAVD88), Tenant shall maintain flood insurance consisting of (i) the maximum coverage available under the National Flood Insurance Program (or any successor program), plus (ii) excess flood insurance or difference-in-conditions coverage, on a replacement cost basis, in an amount sufficient to insure the full replacement cost of the Improvements or such lesser amount as each Leasehold Mortgagee may require, obtained from the commercial market and, if available on commercially reasonable terms, on a multi-year prepaid basis. The parties acknowledge that the National Flood Insurance Program maximum available coverage is materially less than the replacement cost of the Project and that coverage under this Section 12.1(f) is intended to satisfy the requirements of each Leasehold Mortgagee.

12.2. Additional Insureds and Loss Payees. Landlord shall be named as an additional insured on the Commercial General Liability policy, and each Leasehold Mortgagee shall be named as an additional insured on the Commercial General Liability policy and as mortgagee/loss payee on the property, builder's risk, flood and business interruption policies, as its interest may appear. Landlord shall not be named as a loss payee or additional insured on the property policies except to the extent of its insurable interest as fee owner, which the parties acknowledge is limited and does not include the value of Tenant's Improvements.

12.3. Certificates; Notice of Cancellation. Tenant shall deliver certificates of insurance (and, upon request, copies of policies and endorsements) to Landlord and each Leasehold Mortgagee prior to the Lease Commencement Date and thereafter annually, and shall give not less than thirty (30) days' prior written notice of cancellation, non-renewal or material modification of any required coverage (ten (10) days for non-payment of premium). Tenant shall use commercially reasonable efforts to cause each insurer to provide such notice directly.

12.4. Waiver of Subrogation. Landlord and Tenant each waive, and shall cause their respective insurers to waive, all rights of subrogation against the other and against each Leasehold Mortgagee for loss or damage covered by insurance required under this Lease, to the extent permitted by the applicable policies.

12.5. Landlord's Insurance. Landlord shall maintain commercially reasonable liability and property insurance with respect to its fee interest in the land and its activities as a public body, at its own cost. Nothing in this Article 12 shall relieve Landlord of its own insurance obligations or require Tenant to insure Landlord's fee interest or Landlord's own liability.

12.6. No Limitation of Liability. The insurance requirements of this Article 12 are minimum requirements and shall not limit or discharge Tenant's obligations, indemnities or liabilities under this Lease.

ARTICLE 13 — CASUALTY AND CONDEMNATION

13.1. Casualty; Restoration. If the Improvements are damaged or destroyed by fire or other casualty, Tenant shall promptly notify Landlord and each Leasehold Mortgagee, and shall restore the Improvements substantially to their condition before the casualty (subject to Applicable Law then in effect, including any floodplain or freeboard requirement then applicable), using available insurance proceeds, provided that Tenant shall not be required to restore if (a) this Lease is terminated in accordance with Section 13.3 or (b) the Leasehold Mortgagee directs that proceeds be applied to the indebtedness secured by its Leasehold Mortgage.

13.2. Rent Abatement. During the period of restoration following a casualty, Base Rent and Percentage Rent shall abate in proportion to the portion of the rentable area of the Improvements rendered unusable and not actually used by Tenant, measured on a rentable square footage basis, from the date of the casualty until the earlier of the date restoration is substantially complete and the date Tenant reoccupies the affected space. Insurance proceeds received by Tenant under the rent loss coverage shall be applied first to the abated Rent; any excess shall be retained by Tenant.

13.3. Termination Rights on Casualty. If (a) restoration would require expenditures exceeding fifty percent (50%) of the then-replacement cost of the Improvements, (b) the casualty occurs during the final ten (10) years of the Term, (c) the Improvements cannot be restored to a condition suitable for the Permitted Uses within twenty-four (24) months, or (d) applicable law would prohibit restoration as a practical matter, then either party may terminate this Lease by written notice delivered within ninety (90) days after the casualty. Upon any such termination, all insurance proceeds (other than those payable under the rent loss coverage) shall be paid to Tenant or, to the extent of its interest, to each Leasehold Mortgagee, and Landlord shall have no claim to them. Tenant shall have no obligation to rebuild in the event of a termination under this Section 13.3.

13.4. Condemnation. If all or any part of the Premises or the Improvements is taken by eminent domain, or conveyed in lieu of condemnation under threat of condemnation, then:

(a) the entire award, including any award for the fee interest, the leasehold interest, the Improvements, relocation costs, business interruption and loss of goodwill, shall be allocated between the parties as follows: Landlord shall receive the portion of the award attributable to the value of the land as unimproved and unencumbered by this Lease, determined as of the date of valuation, and Tenant shall receive all remaining portions of the award, including the portion attributable to the value of the leasehold interest, the Improvements, the Environmental Remediation Work, relocation costs and business interruption;

(b) if the taking is of the whole Premises, or of such portion that the balance is not reasonably susceptible of use for the Permitted Uses, either party may terminate this Lease effective as of the date of the taking; and

(c) if the taking is partial and the Premises remain reasonably susceptible of use for the Permitted Uses, this Lease shall continue as to the remainder, Tenant shall restore the remaining Improvements to the extent practicable, and Base Rent and the Breakpoint shall be equitably adjusted in proportion to the reduction in the reasonably usable area of the Premises.

Landlord and Tenant shall each cooperate in presenting claims to the condemning authority, and each shall retain its own counsel at its own expense. Nothing in this Section 13.4 shall be construed to require Landlord to subordinate its fee interest to any third party.

13.5. Temporary Taking. A temporary taking of all or part of the Premises shall not terminate this Lease. Base Rent shall abate in proportion to the area and duration of the taking, and Tenant shall be entitled to any award allocable to the period of the temporary taking and to the loss of use of the Premises.

ARTICLE 14 — OPERATION, MAINTENANCE, OPEN SPACE, BULKHEAD AND ALTERATIONS

14.1. Tenant's Maintenance Obligations. Tenant shall, at its sole cost and expense, maintain, repair, replace and keep the Premises and the Improvements in good order, condition and repair, in a manner consistent with comparable first-class mixed-use properties in the region, and in compliance with Applicable Law

(including the ELUR and all floodplain requirements). Tenant shall not permit any waste, nuisance or unlawful use of the Premises.

14.2. Landlord's Obligations. Landlord shall have no obligation to maintain, repair, alter or insure the Premises or the Improvements, except as expressly provided in Section 2.9 and Article 12. Landlord shall maintain its fee interest free of liens and encumbrances (other than the Permitted Exceptions) and shall continue to perform any obligation imposed on the fee owner by the ELUR or by Applicable Law that cannot lawfully be performed by Tenant.

14.3. Bulkhead. The approximately 480 linear feet of bulkhead along the eastern boundary of the Premises, together with the backfill behind it, is a material element of the Premises and was in fair to poor condition as of the Phase II Environmental Site Assessment, exhibiting lateral displacement, cracking, deteriorated and missing timber lagging, erosion of backfill, spalling of the concrete cap and corrosion of the sheet piling, and including approximately forty (40) linear feet from which the concrete cap has been removed. The parties agree that:

(a) Landlord shall deliver the independent structural engineering assessment described in Section 2.9(b) prior to the Lease Commencement Date, at Landlord's cost;

(b) [**Tenant position, to be negotiated:** Landlord shall be responsible, at its sole cost, for rehabilitating the bulkhead and backfill to a sound and watertight condition as of the Lease Commencement Date, or, at Tenant's election, Tenant shall perform such work and receive a dollar-for-dollar credit against Base Rent in addition to the Remediation Credit, together with interest at the Default Interest Rate on any unreimbursed amount;]

(c) thereafter, Tenant shall maintain and repair the bulkhead in accordance with Section 14.1, and shall not be responsible for any pre-existing structural deficiency documented in the assessment; and

(d) the parties acknowledge that the bulkhead lies within or adjacent to the fifteen (15) foot public pedestrian access easement described on **Exhibit B**, that maintenance and repair of the bulkhead is consistent with the easement and does not constitute a prohibited permanent structure, and that Landlord and the City of Port Calloway shall cooperate in any permitting required for bulkhead work, including any Structures, Dredging and Fill permit or tidal wetlands approval.

14.4. Public Open Space. Tenant shall design, construct, maintain and operate, at its sole cost and expense, not less than eight thousand (8,000) square feet of Public Open Space on the waterfront (eastern) side of the Premises, connected to the existing public pedestrian promenade, and shall not enclose, gate or restrict public access to it. The design and programming of the Public Open Space shall be subject to Landlord's reasonable approval in connection with site plan review, which approval shall be given or withheld within ten (10) Business Days after submission. The Public Open Space may be located within the pedestrian access easement area to the extent consistent with the terms of that easement. Tenant's maintenance obligation shall be performed in a manner consistent with the engineered barrier and Soil Management Plan requirements of the ELUR, and the parties acknowledge that landscaping depths and planting specifications must be coordinated with the twenty-four (24) inch clean fill cap.

14.5. Affordable Housing. Not less than **fifteen percent (15%)** of the residential dwelling units in the Project shall be designated as affordable housing units, available to households earning at or below **eighty percent (80%) of Area Median Income**, for the duration of the Term, and this covenant shall run with the leasehold interest and bind Tenant's successors and assigns. The following shall govern:

(a) **AMI.** "Area Median Income" means the median family income for the New Haven-Milford, Connecticut HUD Metro Fair Market Rent Area (or such other HUD-defined geographic area as is then applicable to the City of Port Calloway), as determined annually by the U.S. Department of Housing and Urban Development.

(b) **Unit count and recalculation.** The 15% requirement shall be calculated by reference to the total number of residential dwelling units in the Project as finally constructed and, if the total unit count changes by more than five percent (5%) through renovation, reconfiguration, partial demolition or redevelopment, shall be recalculated and the number of designated affordable units adjusted accordingly, rounding to the nearest whole unit.

(c) **Location.** Affordable units shall be located only on floors two (2) and above (consistent with the ELUR) and shall be distributed throughout the Residential Tower rather than concentrated on a single floor or in a single stack, and shall be comparable in size, finish and access to amenities to market-rate units of the same bedroom count.

(d) **Compliance and verification.** Tenant shall administer income qualification and recertification in accordance with HUD guidance and any applicable regulatory agreement, shall maintain records, and shall deliver an annual compliance certificate to Landlord and the City of Port Calloway within ninety (90) days after the end of each Lease Year.

(e) **Enforcement.** Landlord's sole remedies for a breach of this Section 14.5 shall be specific performance and injunctive relief; no such breach shall constitute an Event of Default, give rise to any right of termination, reverter or forfeiture, or permit any draw on the Security Deposit. Tenant shall have ninety (90) days after written notice to cure any non-compliance.

(f) **Recorded covenant.** The parties acknowledge the Declaration of Restrictive Covenants dated November 15, 2019, recorded at Volume 408, Page 230 of the Port Calloway Land Records, and agree that Tenant's compliance with that recorded covenant, as supplemented by this Section 14.5, shall constitute compliance with this Section 14.5.

*[**Drafting flag — AMI geography:** The record states three different AMI geographies: "the Port Calloway Metropolitan Statistical Area" (Term Sheet § 4), "the New Haven-Milford, Connecticut Metropolitan Statistical Area" (Title Commitment Exception No. 5, describing the recorded 2019 covenant), and "the Bridgeport-Stamford-Norwalk, CT HUD Metro Fair Market Rent Area" (Survey § 3(d)). The Premises are in New Haven County. This Section 14.5 adopts the geography used in the recorded covenant, which is the operative instrument; the other two formulations should be conformed.]*

14.6. Alterations and Redevelopment. Tenant may make alterations, renovations, expansions, demolitions and replacements of the Improvements, and may redevelop the Premises, from time to time without Landlord's consent, provided

that (a) the work complies with Applicable Law, the ELUR and Article 15, (b) the Project continues to comply with Sections 14.4 and 14.5, and (c) Tenant gives Landlord not less than thirty (30) days' prior written notice of any demolition of more than twenty-five percent (25%) of the rentable area of the Improvements. During the final ten (10) years of the Term (from and after October 1, 2114), Tenant shall not undertake alterations or capital improvements exceeding $[●] in any twelve-month period that would materially impair the reversionary value of the Premises without Landlord's consent, which consent shall not be unreasonably withheld, conditioned or delayed; provided that no consent shall be required for (i) work required by Applicable Law, including any flood, coastal resilience, energy or accessibility requirement, (ii) repairs and replacements in the ordinary course, or (iii) work required to comply with the ELUR.

14.7. Signage, Rooftop and Antenna Rights. Tenant may install signage, rooftop equipment, solar panels, telecommunications antennas and similar installations on the Improvements, subject to Applicable Law and the Port Calloway Zoning Regulations, without Landlord's consent, and may license such rights to third parties.

14.8. Utilities. Tenant shall be responsible for obtaining and paying for all utility services to the Premises. Landlord shall cooperate in obtaining utility connections and shall execute any utility easement or consent reasonably required, without charge, provided that no such easement materially impairs the Improvements.

14.9. Landlord's Access. Landlord and its designees may enter the Premises upon not less than twenty-four (24) hours' prior written notice (except in an emergency, in which case notice shall be given as soon as practicable) for the purpose of inspecting, exercising any right or remedy under this Lease, performing any obligation of Landlord, or complying with Applicable Law or the ELUR, provided that Landlord shall not unreasonably interfere with Tenant's operations or any subtenant's occupancy and shall comply with Tenant's reasonable construction, safety and security requirements.

ARTICLE 15 — COMPLIANCE WITH LAWS; FLOOD RESILIENCE; ELUR

15.1. General Compliance. Tenant shall comply, and shall cause the Project and all subtenants to comply, with all Applicable Law relating to the Premises, the Improvements and their use, including the Connecticut State Building Code, the Port Calloway Zoning Regulations, the WRD-3 zoning district requirements, coastal area management and tidal wetlands requirements, floodplain management regulations, fair housing and accessibility requirements, and the ELUR.

15.2. Permitted Uses. The Premises may be used for the following purposes and no other: residential apartments (for rent only; no condominiums or cooperative units, provided that Tenant may convert the leasehold structure to a condominium form of ownership without Landlord's consent if such conversion does not alter Landlord's rights, obligations or reversionary interest); Class A office; ground-floor retail (excluding adult entertainment establishments, firearms sales, pawnshops and gasoline service stations); restaurants, including those with liquor service licensed by the Connecticut Department of Consumer Protection; accessory parking; residential lobby and amenity spaces (including a fitness center, package room, resident lounge and leasing office) at the ground-

floor level, subject to Section 7.8; and uses accessory to the foregoing. No industrial, manufacturing or warehousing uses shall be permitted other than as accessory to the operation of the Improvements.

15.3. Flood Resilience and Freeboard. The Premises lie entirely within FEMA Flood Zone AE, FIRM Panel No. 09009C0301G, effective January 15, 2020, with a Base Flood Elevation of twelve (12) feet NAVD88. Tenant shall design and construct the Improvements with a finished floor elevation of not less than fifteen (15) feet NAVD88 (three (3) feet of freeboard), and with all mechanical, electrical, telecommunications and life-safety equipment located above such elevation or otherwise protected against inundation. Tenant may, at its election, construct to a higher finished floor elevation. If any Applicable Law, permit condition, insurer requirement or Leasehold Mortgagee requirement imposes a higher finished floor elevation or additional freeboard, Tenant shall comply, and the incremental cost shall be borne by Tenant; any resulting delay shall constitute a Force Majeure Event and a permitting delay under Section 3.4.

15.4. Climate Adaptation and Code Changes. The parties acknowledge that over a Term of ninety-nine (99) years the Base Flood Elevation, flood maps, coastal resilience standards, energy codes and building codes are likely to change materially, and that Connecticut Public Act 23-167 (2023) and evolving municipal standards may require additional freeboard, floodproofing or adaptation measures. Tenant shall be responsible for compliance with any such change as and when required by Applicable Law, and no such change shall constitute a default by Tenant or entitle Landlord to any increase in Rent; provided that Tenant shall be entitled to the benefit of any applicable amortization, hardship or phased-compliance provision of Applicable Law. Landlord shall cooperate with Tenant in seeking any variance, extension of time or alternative compliance method, at Tenant's cost, and the time required to obtain such relief shall be a Force Majeure Event and a permitting delay under Section 3.4.

15.5. ELUR. Tenant shall comply with the ELUR in accordance with Section 7.7. Nothing in this Lease shall be construed to require Tenant to perform any remediation or to accept any obligation in excess of those allocated to Tenant in Article 7.

15.6. Notice of Violations. Each party shall deliver to the other, within five (5) Business Days after receipt, a copy of any notice of violation, citation, order, compliance notice or enforcement action received from any governmental authority relating to the Premises, the Improvements or the ELUR, and each Leasehold Mortgagee shall receive a copy simultaneously.

ARTICLE 16 — TITLE, PERMITTED EXCEPTIONS, QUIET ENJOYMENT AND ESTOPPELS

16.1. Title Representations. Landlord shall convey the leasehold estate to Tenant subject only to the Permitted Exceptions. Landlord represents and warrants that, as of the Lease Commencement Date, the leasehold estate created by this Lease will be insurable as a good and indefeasible leasehold estate, subject only to the Permitted Exceptions, and that the fee simple title to the Premises is vested in Landlord free and clear of all liens and encumbrances other than the Permitted Exceptions.

16.2. Permitted Exceptions. The Permitted Exceptions are those described on **Exhibit B**. Tenant's approval of the Permitted Exceptions is limited to those matters expressly described on **Exhibit B**, and any additional exception, or any change in the recorded terms of any listed exception, shall require Tenant's written approval and the approval of each Leasehold Mortgagee. Landlord shall, at its sole cost, cause the mechanics' lien described on **Exhibit B**, Part 6, to be discharged or bonded, cure any title defect within its control, and correct the legal description of the Premises so that it conforms to the ALTA/NSPS survey delivered under Section 2.3(c).

*[**Drafting flag — legal description:** The metes and bounds description attached as Exhibit A to Title Commitment TC-2025-07821 does not close and, on the courses stated, encloses approximately 279,535 square feet (6.42 acres) rather than the 139,392 square feet (3.20 acres) recited in the same instrument. The description in the ALTA/NSPS survey (Survey Job No. CLS-2025-0417) closes exactly and encloses 139,475 square feet. **Exhibit A** to this Lease is derived from the survey. The title company must reissue its commitment with a conformed legal description, and the description in Exhibit A must be confirmed by each Leasehold Mortgagee's title insurer before the Lease Commencement Date.]*

16.3. Quiet Enjoyment. Landlord covenants that, so long as no Event of Default by Tenant is continuing, Tenant shall peaceably and quietly have, hold and enjoy the Premises for the Term without hindrance or interruption by Landlord or any Person claiming by, through or under Landlord, subject to the Permitted Exceptions and Applicable Law. Landlord shall defend Tenant's possession at Landlord's cost against any claim asserted by any Person claiming by, through or under Landlord.

16.4. Estoppel Certificates. Within ten (10) Business Days after request by Tenant or any Leasehold Mortgagee (but not more than twice in any calendar year except in connection with a financing or a proposed transfer), Landlord shall execute and deliver a written estoppel certificate certifying, as applicable, the Lease Commencement Date, the Rent Commencement Date, the then-current Base Rent, the status of any default, the amounts of any prepaid Rent or Security Deposit, and such other factual matters as may reasonably be requested. Landlord's failure to deliver an estoppel within such period shall be a Landlord Event of Default curable only by delivery, and Tenant and each Leasehold Mortgagee may rely upon such failure as confirmation of the matters stated in the request.

16.5. Subordination and Non-Disturbance. This Lease is and shall remain superior to any mortgage or deed of trust hereafter placed on Landlord's fee interest. Landlord shall cause any present or future holder of a mortgage or deed of trust encumbering the fee interest to execute a subordination, non-disturbance and attornment agreement in favor of Tenant and each Leasehold Mortgagee, in form reasonably satisfactory to Tenant and each Leasehold Mortgagee, providing that this Lease (and any New Lease) shall not be disturbed by reason of the foreclosure of such fee mortgage.

16.6. No Merger. No merger of the leasehold estate created by this Lease with the fee interest in the Premises shall occur by reason of (a) the acquisition of the fee interest by Tenant or any Affiliate of Tenant, (b) the acquisition of the leasehold interest by Landlord or any Affiliate of Landlord, or (c) the transfer of either interest to the same Person, unless such Person delivers written notice to each Leasehold Mortgagee expressly electing to effect such merger.

16.7. Leasehold Title Insurance. Tenant shall obtain, at its cost, an ALTA Leasehold Owner's Policy of title insurance in the amount of the total project cost and shall cause each Leasehold Mortgagee to obtain an ALTA Leasehold Loan Policy in the amount of its loan, in each case subject only to the Permitted Exceptions and with the ALTA 13-06 and 13.1-06 leasehold endorsements and the environmental protection lien endorsement. Landlord shall execute such affidavits, no-lien affidavits, owner's certificates, gap undertakings and indemnities as the title company reasonably requires, without charge.

ARTICLE 17 — SURRENDER; END OF TERM; REMOVAL; HOLDOVER

17.1. Surrender. Upon the Expiration Date or any earlier Termination Date, Tenant shall surrender the Premises to Landlord in good condition, order and repair, reasonable wear and tear and casualty excepted, free and clear of all liens, encumbrances and tenancies created by Tenant (other than subleases that Landlord is required to recognize under Section 9.6(e) or Section 10.6(f)), and in compliance with the ELUR and all Environmental Laws.

17.2. Improvements at End of Term. Upon the Expiration Date (as distinguished from a termination under Section 10.5, which is governed by Section 10.6), the Improvements shall become the sole property of Landlord without payment, compensation or reimbursement to Tenant, and Tenant shall have no claim for compensation, unjust enrichment, betterment or otherwise in respect of the Improvements, the Environmental Remediation Work, the Public Open Space improvements or any other work performed by Tenant on the Premises.

> *[**Tenant position, to be negotiated.** Because the Tenant will have invested in excess of $425,000,000 in Improvements that pass to Landlord without compensation at the end of the Term, Tenant proposes one of the following: (a) the extension option in Section 2.7; (b) an option to purchase Landlord's fee interest at the then-appraised fair market value, exercisable during the final ten (10) years of the Term; or (c) a right to remove or to require Landlord to purchase Tenant's Trade Fixtures and the remediable value of the Environmental Remediation Work. Tenant also notes that the fair market value of the Improvements at the end of a 99-year term will be heavily depreciated, and that the value of the reversion to Landlord is already captured in the Base Rent structure.]*

17.3. Removal of Trade Fixtures. Tenant may remove its Trade Fixtures at any time during the Term and within sixty (60) days after the Expiration Date or Termination Date, provided that Tenant repairs any damage caused by removal. Tenant may abandon any Trade Fixtures it elects not to remove, and Landlord may dispose of them at Tenant's cost if Tenant fails to remove them within such period.

17.4. Holdover. If Tenant remains in possession of the Premises after the Expiration Date with Landlord's written consent, the tenancy shall be month-to-month on the terms of this Lease except that Base Rent shall be one hundred twenty-five percent (125%) of the Base Rent in effect on the Expiration Date. If Tenant remains in possession without Landlord's consent, Base Rent shall be one hundred fifty percent (150%) of such Base Rent, and such amounts shall be Landlord's sole and exclusive remedy for the holdover for the first ninety (90) days. Nothing in this Section 17.4 shall limit Tenant's right to remain in possession under any extension right under Section 2.7 or to remain in possession pending resolution of a good-faith dispute as to the Expiration Date.

17.5. Continuing Environmental Obligations. Tenant's obligations under Article 7 with respect to conditions created by Tenant, and Landlord's obligations under Section 7.5 with respect to Pre-Existing Environmental Conditions, shall survive the Expiration Date or any Termination Date.

ARTICLE 18 — REPRESENTATIONS, WARRANTIES AND COVENANTS

18.1. Landlord's Representations, Warranties and Covenants. Landlord represents, warrants and covenants to Tenant, as of the Effective Date and as of the Lease Commencement Date, that:

(a) Landlord is a public body corporate and politic duly organized, validly existing and in good standing under Connecticut General Statutes § 8-125 et seq., and has full power and authority to own, lease and convey the leasehold estate and to execute, deliver and perform this Lease;

(b) the execution, delivery and performance of this Lease have been duly authorized by Resolution No. 2025-047 and by all other necessary action of Landlord's Board of Commissioners, and no further authorization, consent or approval (including under Connecticut General Statutes § 8-125 et seq., the Authority's bylaws, the Connecticut Freedom of Information Act or any other Applicable Law) is required for Landlord to execute and deliver this Lease or to perform its obligations under Sections 9.6 and 10.6;

(c) this Lease constitutes the legal, valid and binding obligation of Landlord, enforceable against Landlord in accordance with its terms, subject only to applicable bankruptcy, insolvency, reorganization and similar laws and to general principles of equity;

(d) Landlord holds fee simple title to the Premises free and clear of all liens, encumbrances, leases, licenses and options other than the Permitted Exceptions, and there is no pending or, to Landlord's knowledge, threatened condemnation, reverter, escheat, tax sale or other proceeding affecting title to the Premises;

(e) to Landlord's actual knowledge, there is no litigation, arbitration, governmental investigation or enforcement proceeding pending or threatened against Landlord, the Premises or the Project that would materially and adversely affect the Premises, the leasehold estate or Landlord's ability to perform this Lease;

(f) Landlord has delivered to Tenant all environmental reports, studies, assessments, LUST files, underground storage tank records, DEEP correspondence, ELUR documents and notices of violation in Landlord's possession or control relating to the Premises, and, to Landlord's actual knowledge, there are no Hazardous Materials at the Premises other than as disclosed in the Phase I and Phase II Environmental Site Assessments and the ELUR, and no notice of violation, order or information request from DEEP or any other authority is outstanding;

(g) the Premises are not subject to any reverter, reversionary interest, residual claim, former owner claim or other interest arising out of the eminent domain proceedings by which Landlord acquired title that could impair Tenant's leasehold estate, and all statutory appeal periods under Connecticut General Statutes § 8-132 have expired;

(h) there are no service contracts, management agreements, equipment leases, union agreements or other commitments affecting the Premises that will be binding on Tenant after the Lease Commencement Date;

(i) Landlord is not in default under any agreement with the City of Port Calloway or any other governmental body that would affect the Premises, the Tax Abatement or this Lease; and

(j) Landlord has made no promise, representation or inducement to Tenant other than those expressly set forth in this Lease.

Landlord's representations and warranties in this Section 18.1 shall survive the Lease Commencement Date and shall not merge into any deed, lease, memorandum or other instrument.

18.2. Tenant's Representations and Warranties. Tenant represents and warrants to Landlord that: (a) Tenant is a limited liability company duly organized, validly existing and in good standing under the laws of the State of Delaware and is duly qualified to transact business in the State of Connecticut; (b) Tenant has full power and authority to execute, deliver and perform this Lease, and such execution, delivery and performance have been duly authorized by all necessary action of Tenant and its members; (c) this Lease constitutes the legal, valid and binding obligation of Tenant, enforceable in accordance with its terms; (d) no bankruptcy, receivership or insolvency proceeding is pending or contemplated by or against Tenant; and (e) no litigation is pending or threatened against Tenant that would materially and adversely affect Tenant's ability to perform this Lease.

18.3. Landlord's Covenants. Landlord further covenants that it shall (a) maintain its existence and good standing and all authorizations necessary to perform this Lease; (b) not voluntarily take any action to dissolve, wind up or divest itself of the Premises other than in compliance with Section 9.11; (c) not advocate or support the repeal or reduction of the Tax Abatement; and (d) at all times act in good faith and in a commercially reasonable manner in the exercise of any consent, approval or discretion under this Lease.

ARTICLE 19 — NOTICES

19.1. Addresses. All notices, demands, consents and other communications under this Lease shall be in writing and shall be delivered to the following addresses (or such other address as a party may designate by not less than ten (10) days' prior written notice):

Party	Notice Address
Landlord	City of Port Calloway Redevelopment Authority 75 Municipal Plaza, Port Calloway, CT 06801 Attention: Executive Director with a copy to: Pryor Whitfield & Koss LLP, 55 Courthouse Square, Port Calloway, CT 06801, Attention: Howard Koss, Esq.
Tenant	Meridian Gateway Holdings LLC 400 Harborview Drive, Suite 1200, Port Calloway, CT 06801 Attention: Marcus Ellison, Managing Member with a copy to: Hargrove & Linden LLP, 1100 Constitution Avenue, Hartford, CT 06103, Attention: Rebecca Tsang, Esq.
Leasehold	As designated from time to time pursuant to Section 9.2.

Party	Notice Address
Mortgagee	Bayside Federal Lending Corp., 200 Atlantic Boulevard, Stamford, CT 06902, Attention: Sandra Milliken, Senior Vice President, Commercial Real Estate Lending, with a copy to Lender's counsel at the address designated by Lender.

19.2. Method of Delivery; Effectiveness. Notices shall be deemed given (a) upon delivery, if delivered by hand (with written receipt), (b) one (1) Business Day after deposit with a nationally recognized overnight courier, (c) three (3) Business Days after deposit in the United States mail, certified or registered, return receipt requested, postage prepaid, or (d) upon confirmed transmission, if sent by electronic mail with a simultaneous copy sent by one of the methods in clauses (a) through (c). Notices of default, notices of termination and notices of Milestone Default must be given by a method described in clauses (a), (b) or (c) and may not be given solely by electronic mail.

19.3. Copies Not a Condition. The failure to deliver a copy of any notice to a party's counsel or to a Leasehold Mortgagee's counsel shall not affect the effectiveness of the notice to the addressee, except that failure to deliver to a Leasehold Mortgagee shall render the notice ineffective as to that Leasehold Mortgagee and shall toll the commencement of its Lender Cure Period.

ARTICLE 20 — MISCELLANEOUS

20.1. Governing Law. This Lease shall be governed by and construed in accordance with the laws of the State of Connecticut, without regard to its conflict of laws principles. The parties acknowledge that the Premises are located in New Haven County, Connecticut.

20.2. Dispute Resolution. Any dispute, claim or controversy arising out of or relating to this Lease (other than an application for injunctive relief or specific performance, or an action to collect a liquidated sum, which may be brought immediately) shall be submitted first to non-binding mediation before a single mediator acceptable to both parties, in New Haven, Connecticut, within sixty (60) days after written request by either party. Each party shall bear its own costs of the mediation and half of the mediator's fees. If the dispute is not resolved within ninety (90) days after the mediation request, either party may commence an action in the Superior Court of the State of Connecticut, Judicial District of New Haven (or, if such court lacks jurisdiction, in the United States District Court for the District of Connecticut). Each party consents to the personal jurisdiction and venue of such courts. Pending resolution, the parties shall continue to perform their obligations under this Lease, and Tenant shall continue to pay undisputed Rent.

*[**Drafting flag:** The Term Sheet (§ 19) refers to the "Connecticut Superior Court, Judicial District of Port Calloway," while the Title Commitment (Schedule A, § 4 and Exception No. 10) refers to the "Superior Court of Connecticut, Judicial District of New Haven." There is no Judicial District of Port Calloway; the Premises are in New Haven County. The clause above uses the correct district. The parties have also elected mediation followed by litigation rather than binding arbitration because Connecticut law limits the ability of a public body to agree to binding arbitration absent express statutory authority; the arbitrability of disputes involving the Authority should be confirmed with Connecticut counsel before any arbitration provision is accepted.]*

20.3. Attorneys' Fees. In any action or proceeding between the parties arising out of this Lease, the prevailing party shall be entitled to recover its reasonable attorneys' fees, costs and disbursements from the non-prevailing party.

20.4. Freedom of Information. The parties acknowledge that Landlord is a public agency subject to the Connecticut Freedom of Information Act, Connecticut General Statutes § 1-200 et seq., and that this Lease and the statements and other information delivered under this Lease may be subject to public disclosure. Landlord shall, to the extent permitted by Applicable Law, (a) treat Tenant's financial statements, pro forma information, rent rolls, construction budgets and financing terms as confidential commercial or financial information within the meaning of Connecticut General Statutes § 1-210(b)(5); (b) notify Tenant promptly of any request for disclosure and cooperate with Tenant's efforts to obtain confidential treatment; and (c) assert all available exemptions before disclosing any such information. Nothing in this Section 20.4 shall require Landlord to violate Applicable Law or to withhold this Lease itself, and Landlord shall not be liable to Tenant for any disclosure required by Applicable Law or ordered by a court of competent jurisdiction.

20.5. Confidentiality. Tenant acknowledges that this Lease, and any memorandum of it, will be recorded and available to the public. Tenant shall not be required to keep the terms of this Lease confidential, and Landlord shall not disclose any Leasehold Mortgagee's financial information or loan terms without the consent of the applicable Leasehold Mortgagee, except as required by Applicable Law.

20.6. Broker. The parties represent to each other that no broker, finder or other intermediary has been engaged in connection with this transaction and each shall indemnify the other against any claim for a commission or fee arising from its own acts.

20.7. Entire Agreement; Supersession of Term Sheet. This Lease, together with its Exhibits, contains the entire agreement of the parties with respect to the Premises and supersedes all prior negotiations, term sheets, letters of intent and understandings, including the Term Sheet dated June 10, 2025 and the correspondence between the parties, all of which shall be of no further force or effect as of the Effective Date, except that the exclusivity obligations of the Term Sheet shall survive to the extent, and for so long as, expressly provided in the Term Sheet. In the event of any conflict between this Lease and the Term Sheet, this Lease controls.

20.8. Amendment; Waiver. This Lease may not be amended, modified or supplemented except by a written instrument executed by both parties (and consented to by each Leasehold Mortgagee to the extent required by Section 9.4). No waiver of any provision shall be effective unless in writing and signed by the waiving party, and no waiver of any breach shall be deemed a waiver of any other or subsequent breach.

20.9. No Partnership; Third-Party Beneficiaries. Nothing in this Lease shall create a partnership, joint venture, joint enterprise or principal-agent relationship between the parties. Except for each Leasehold Mortgagee and each Related Lender (which are express third-party beneficiaries of Article 9 and Sections 10.5, 10.6 and 10.7), this Lease confers no rights on any Person other than the parties and their permitted successors and assigns. No subtenant or other occupant shall be a third-party beneficiary of this Lease.

20.10. Severability. If any provision of this Lease is held to be invalid, illegal or unenforceable, the remaining provisions shall continue in full force and effect, and the invalid, illegal or unenforceable provision shall be reformed to the minimum extent necessary to make it valid and enforceable while preserving the parties' economic intent.

20.11. Time of the Essence. Time is of the essence with respect to each date and period set forth in this Lease, except that any period that ends on a day that is not a Business Day shall be extended to the next succeeding Business Day.

20.12. Further Assurances. Each party shall execute, acknowledge and deliver such further instruments, and take such further actions, as the other party or any Leasehold Mortgagee may reasonably request to carry out the purposes of this Lease, without charge.

20.13. Counterparts; Electronic Signature. This Lease may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one instrument. Electronic signatures and signatures transmitted by electronic mail in portable document format shall be deemed original signatures for all purposes.

20.14. Landlord Authority; Approval of this Lease. Landlord represents that its Board of Commissioners has adopted, or will adopt prior to the Lease Commencement Date, a resolution approving this Lease in the form executed by the parties and authorizing the Executive Director to execute and deliver this Lease and the instruments contemplated by it, including the SNDA, the Memorandum of Lease and any New Lease. Landlord shall deliver a certified copy of such resolution to Tenant and each Leasehold Mortgagee, together with a certificate of the Secretary or Clerk of Landlord as to the incumbency of the officers executing this Lease.

20.15. No Personal Liability; Recourse. No commissioner, officer, employee or agent of Landlord shall have any personal liability under this Lease, and no such Person shall be named as a party to any action arising out of this Lease. Tenant's recourse for any obligation of Landlord under this Lease shall be to Landlord's interest in the Premises and the Improvements, the Rent and Landlord's other assets (other than assets held in trust for bondholders or otherwise restricted by Applicable Law), and not to the City of Port Calloway or to any other governmental body, municipality or public treasury.

20.16. Waiver of Jury Trial. [**To be negotiated:** TO THE EXTENT PERMITTED BY APPLICABLE LAW, THE PARTIES KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVE ANY RIGHT TO A TRIAL BY JURY IN ANY ACTION ARISING OUT OF OR RELATING TO THIS LEASE. Landlord's ability to waive a jury trial as a public body should be confirmed with Connecticut counsel.]

20.17. Survival. The provisions of this Lease that by their nature are intended to survive, including Article 7, Article 9, Sections 10.6 through 10.8, Article 17 and this Article 20, shall survive the expiration or termination of this Lease.

20.18. Exhibits. The following Exhibits are attached to and incorporated in this Lease: A (Legal Description); B (Permitted Exceptions); C (Development Milestones and Extension Schedule); D (Base Rent Schedule, Rent Reset and Percentage Rent Mechanics); E (Form of Letter of Credit); F (Required Terms of SNDA); and G (Form of Memorandum of Ground Lease).

IN WITNESS WHEREOF, the parties have executed this Ground Lease Agreement as of the Effective Date.

LANDLORD:

CITY OF PORT CALLOWAY REDEVELOPMENT AUTHORITY,
a public body corporate and politic

By: _____
Name: Paul Castignetti
Title: Executive Director
Date: ____, 2025

Attest:

By: _____
Name: _____
Title: _____
Authorized by Resolution No. 2025-047, adopted June 5, 2025, and by Resolution No. ____, *adopted* ___, 2025

TENANT:

MERIDIAN GATEWAY HOLDINGS LLC,
a Delaware limited liability company

By: _____
Name: Marcus Ellison
Title: Managing Member
Date: ____, 2025

Attest:

By: _____
Name: _____
Title: _____

[SIGNATURE PAGE FOR LEASEHOLD MORTGAGEE CONSENT AND AGREEMENT]

The undersigned Leasehold Mortgagee executes this Ground Lease Agreement solely for the purpose of acknowledging and consenting to the provisions of Article 9 and Sections 10.5 through 10.8, and agrees to be bound by the obligations applicable to a Leasehold Mortgagee under Article 9.

BAYSIDE FEDERAL LENDING CORP.

By: _____
Name: Sandra Milliken
Title: Senior Vice President, Commercial Real Estate Lending
Date: ____, 2025

[NOTARIAL ACKNOWLEDGMENTS]

STATE OF CONNECTICUT
COUNTY OF NEW HAVEN

On this __ day of ____, 2025, before me, the undersigned officer, personally appeared **Paul Castignetti**, who acknowledged himself to be the Executive Director of the **CITY OF PORT CALLOWAY REDEVELOPMENT AUTHORITY**, a public body corporate and politic, and that he, as such officer, being authorized to do so, executed the foregoing instrument for the purposes therein contained, by signing the name of the Authority by himself as such officer.

_____
Notary Public
My commission expires: ____

STATE OF CONNECTICUT
COUNTY OF NEW HAVEN

On this __ day of ____, 2025, before me, the undersigned officer, personally appeared **Marcus Ellison**, who acknowledged himself to be the Managing Member of **MERIDIAN GATEWAY HOLDINGS LLC**, a Delaware limited liability company, and that he, as such officer, being authorized to do so, executed the foregoing instrument for the purposes therein contained, by signing the name of the limited liability company by himself as such officer.

_____
Notary Public
My commission expires: ____

EXHIBIT A
LEGAL DESCRIPTION OF THE PREMISES

All that certain piece or parcel of land situated in the City of Port Calloway, County of New Haven, State of Connecticut, bounded and described as follows:

BEGINNING at a point at the intersection of the southerly line of Pier Street (a 60-foot public right-of-way) and the easterly line of Harbor Avenue (a 50-foot public right-of-way), said point being the northwest corner of the herein-described parcel, marked by a found 5/8-inch iron rebar;

THENCE running South 78 degrees 15 minutes 30 seconds East along the southerly line of Pier Street, a distance of Four Hundred Thirty-Five and 22/100 feet (435.22') to a point at the northeast corner of the herein-described parcel, said point being on the westerly line of the 15-foot public pedestrian access easement recorded at Volume 395, Page 112 of the Port Calloway Land Records, marked by a found 5/8-inch iron rebar;

THENCE running South 11 degrees 44 minutes 30 seconds West along the westerly line of said pedestrian access easement and along the bulkhead line, a distance of Three Hundred Twenty and 47/100 feet (320.47') to a point at the southeast corner of the herein-described parcel, said point being on the northerly boundary of Assessor's Parcel No. 127-003-0044 (City of Port Calloway Redevelopment Authority, reserved for future park development), marked by a set 5/8-inch iron rebar with aluminum cap stamped "PLS 008741";

THENCE running North 78 degrees 15 minutes 30 seconds West along the northerly line of said Assessor's Parcel No. 127-003-0044, a distance of Four Hundred Thirty-Five and 22/100 feet (435.22') to a point at the southwest corner of the herein-described parcel, said point being on the easterly line of Harbor Avenue, marked by a set 5/8-inch iron rebar with aluminum cap stamped "PLS 008741";

THENCE running North 11 degrees 44 minutes 30 seconds East along the easterly line of Harbor Avenue, a distance of Three Hundred Twenty and 47/100 feet (320.47') to the POINT OF BEGINNING.

Containing 139,392 square feet, or 3.200 acres, more or less.

Basis of Bearings: Connecticut State Plane Coordinate System, NAD83 (2011), South Zone. **Vertical Datum:** NAVD88.

Being a portion of the land conveyed to the City of Port Calloway Redevelopment Authority by Final Order of Condemnation recorded in the Port Calloway Land Records, dated June 15, 2012.

Said parcel is subject to the easements, encumbrances and other matters set forth on **Exhibit B**.

> *[**Drafting note — source and reconciliation.** This description is taken from the narrative legal description in the ALTA/NSPS Land Title Survey prepared by Calloway Land Surveyors LLC, Thomas R. Pellegrino, PLS (Connecticut License No. PLS-008741), Survey Job No. CLS-2025-0417, field survey April 20, 2025, plat dated April 28, 2025. (1) The traverse closes exactly and encloses 139,475 square feet, not the 139,392 square feet recited above; the recital of 139,392 square feet is the assessor's figure (3.2 acres x 43,560), and the parties should confirm which figure controls, particularly because the per-square-foot Base Rent ($20.45) in the Term Sheet is derived from 139,392. (2) The description **attached as Exhibit A to Title Commitment TC-2025-07821** is materially different: it uses bearings of North 72 degrees 15 minutes 30 seconds East (rather than South 78 degrees 15 minutes 30*

seconds East), distances of 580.00 feet and 582.50 feet along the north and south lines, a Harbor Avenue line of 480.20 feet, and two bulkhead courses of 240.40 feet and 239.60 feet. On those courses the parcel encloses approximately 279,535 square feet (6.42 acres) and the traverse miscloses by approximately 1.10 feet. That description cannot be used. (3) The Title Commitment states that its description was derived from a survey identified as Drawing No. CLS-2025-0321 by J. Michael Ferreira, P.L.S. (Connecticut License No. 12847), last revised May 15, 2025 — a survey that is not in the record and that differs in job number, surveyor, license number and date from the survey actually delivered. Landlord and the title company must reconcile and reissue before the Lease Commencement Date. (4) The "approximately 480 linear feet of bulkhead" figure used in the Term Sheet, the Title Commitment and the survey narrative is not consistent with the 320.47-foot eastern boundary line in the survey traverse; the 480-foot figure appears to derive from the erroneous title description. The parties should confirm the actual bulkhead length from the survey plat and conform Sections 2.9 and 14.3 accordingly.]

EXHIBIT B
PERMITTED EXCEPTIONS

The leasehold estate created by this Lease is subject only to the following Permitted Exceptions, as disclosed in Title Commitment No. TC-2025-07821 issued by Ridgepoint Title & Escrow Co. (effective June 1, 2025), as the same may be updated to reflect conditions at the Lease Commencement Date:

Part 1 — Environmental Land Use Restriction.

Environmental Land Use Restriction recorded March 22, 2018, at Volume 412, Page 88 of the Port Calloway Land Records, executed by the City of Port Calloway Redevelopment Authority and approved by DEEP pursuant to Connecticut General Statutes § 22a-133o and the Connecticut Remediation Standard Regulations, imposing (a) a prohibition on residential use on the ground floor of any structure on the Premises, (b) a requirement to install and maintain an engineered barrier of not less than two (2) feet of clean fill or an equivalent impervious surface cover over any area of ground disturbance, (c) monitoring, inspection and annual compliance certification obligations, and (d) restrictions on excavation below the engineered barrier without DEEP approval. Subject to Section 7.8.

Part 2 — Public Utility Easement.

Easement for public utilities (underground electric and sewer) in favor of the City of Port Calloway, twenty (20) feet in width, along the northern boundary of the Premises (Pier Street frontage), recorded at Volume 388, Page 201 of the Port Calloway Land Records, together with rights of ingress and egress.

Part 3 — Public Pedestrian Access Easement.

Easement for public pedestrian access, fifteen (15) feet in width, along the eastern (waterfront) boundary of the Premises, recorded at Volume 395, Page 112 of the Port Calloway Land Records, prohibiting permanent structures within the easement area but permitting landscaping, paving, benches, lighting and similar public amenities. Tenant's obligations with respect to the Public Open Space are set forth in Section 14.4.

Part 4 — Right of First Refusal.

Right of first refusal in favor of the City of Port Calloway Redevelopment Authority set forth in the Declaration of Right of First Refusal dated September 8, 2019, recorded at Volume 405, Page 55 of the Port Calloway Land Records, as amended prior to the Lease Commencement Date to conform to Section 11.5 of this Lease (including the carve-outs for Permitted Transfers, Leasehold Mortgages, foreclosure, deed-in-lieu transfers and New Leases).

Part 5 — Affordable Housing Restrictive Covenant.

Declaration of Restrictive Covenants dated November 15, 2019, recorded at Volume 408, Page 230 of the Port Calloway Land Records, requiring that not less than fifteen percent (15%) of residential dwelling units be designated as affordable housing available to households earning at or below eighty percent (80%) of Area Median Income for the duration of the ground lease, as supplemented by Section 14.5 of this Lease.

Part 6 — Mechanics' Lien (to be discharged).

Mechanics' lien filed by Calloway Marine Demolition Inc. on April 3, 2025 in the amount of $187,500.00, recorded at Volume 418, Page 302 of the Port Calloway Land Records, arising from bulkhead demolition work performed for Landlord.

This exception is not a Permitted Exception for purposes of this Lease. Landlord shall discharge, release or bond off the lien at its sole cost prior to the Lease Commencement Date pursuant to Section 2.9(a), and the leasehold title policy shall not contain an exception for it.

Part 7 — Taxes and Assessments.

Real property taxes and assessments for the fiscal year commencing July 1, 2025 and thereafter, not yet due and payable, subject to Article 6 (including the Tax Abatement) and to Tenant's right to contest under Section 6.4.

Part 8 — Zoning and Land Use Regulations.

All zoning ordinances, land use regulations, building codes, coastal management and wetlands regulations and other governmental regulations applicable to the Premises, including the WRD-3 zoning district regulations, subject to Tenant's rights under Article 15.

Part 9 — Flood Zone Designation.

Location of the Premises within FEMA Flood Zone AE, FIRM Panel No. 09009C0301G, effective January 15, 2020, Base Flood Elevation 12 feet NAVD88, subject to Section 15.3.

Part 10 — Eminent Domain History.

Rights reserved by or to the public or any governmental entity in connection with the eminent domain proceedings by which Landlord acquired fee simple title, subject to Landlord's representation in Section 18.1(g) that no reverter, reversionary interest, residual claim or former owner claim exists that could impair Tenant's leasehold estate.

EXHIBIT C
DEVELOPMENT MILESTONES AND EXTENSION SCHEDULE

Milestone	Description	Period from Lease Commencement Date	Deadline (assuming 10/1/2025)	Maximum Extension
1	Commencement of Construction — physical pouring of footings for at least one building following issuance of all necessary building permits	18 months	April 1, 2027	12 mo. Force Majeure + 6 mo. permitting + uncapped Landlord Delay + optional paid extensions
2	Completion of Structural Frame — topping out of structural steel and concrete frame of the Residential Tower	42 months	April 1, 2029	As above (no reverter)
3	Substantial Completion of Phase 1 — Residential Tower and ground-floor retail	60 months	October 1, 2030	As above (reverter right subject to Article 10 procedure)
4	Substantial Completion of Phase 2 — Office Building	84 months	October 1, 2032	As above (no reverter)

Extension mechanics. (a) Force Majeure Events: day for day, maximum 12 months in the aggregate. (b) Permitting delays: day for day, maximum 6 months in the aggregate. (c) The aggregate of (a) and (b) shall not exceed 18 months. (d) Landlord Delay: day for day, uncapped. (e) Tenant's optional paid extensions under Section 3.4(d), if agreed. Tenant shall give notice of any Force Majeure Event or permitting delay within thirty (30) days after becoming aware of it.

Reversion of rights. Only Milestone 1 and Milestone 3 are enforceable by termination, and only after the Milestone Notice, the 180-day Milestone Cure Period, the 180-day Lender Cure Period, the 30-day Landlord election window and the conditions in Section 10.5(g), and only upon payment or securing of the Improvement Payment under Section 10.6. Failure to achieve Milestone 2 or Milestone 4 gives Landlord no remedy other than notice and consultation (Section 3.5).

EXHIBIT D

BASE RENT SCHEDULE, RENT RESET AND PERCENTAGE RENT MECHANICS

Part 1 — Base Rent, Lease Years 1 through 15

Lease Year	Annual Base Rent	Monthly Installment	Computation
1	$2,850,000	$237,500.00	Initial annual Base Rent
2	$2,850,000	$237,500.00	No escalation
3	$2,850,000	$237,500.00	No escalation
4	$2,850,000	$237,500.00	No escalation
5	$2,850,000	$237,500.00	No escalation
6	$3,224,513	$268,709.45	$2,850,000 x (1.025)^5
7	$3,224,513	$268,709.45	No escalation
8	$3,224,513	$268,709.45	No escalation
9	$3,224,513	$268,709.45	No escalation
10	$3,224,513	$268,709.45	No escalation
11	$3,648,241	$304,020.08	$2,850,000 x (1.025)^10
12	$3,648,241	$304,020.08	No escalation
13	$3,648,241	$304,020.08	No escalation
14	$3,648,241	$304,020.08	No escalation
15	$3,648,241	$304,020.08	No escalation

Part 2 — Rent Resets (Lease Years 16, 26, 36, 46, 56, 66, 76, 86 and 96)

Base Rent shall be reset on each Rent Reset Date to the greater of (a) $2,850,000 x (1.025)^(Lease Year - 1) and (b) $2,850,000 x the cumulative percentage increase in the CPI-U Northeast from the base index month (the third calendar month preceding the Rent Commencement Date) to the reset index month (the third calendar month preceding the Rent Reset Date). Base Rent shall not be reduced on any Rent Reset, and each calculation shall be made from the initial annual Base Rent rather than from any previously reset amount.

Part 3 — Percentage Rent

Lease Year	Base Rent (2.5% floor)	Breakpoint (as proposed in Section 5.3)	Ratio of Breakpoint to Base Rent
6	$3,224,513	$28,500,000	8.84x
16	$4,127,650	$36,486,000	8.84x
26	$5,283,741	$46,697,000	8.84x
36	$6,763,635	$59,776,000	8.84x
46	$8,658,024	$76,516,000	8.84x
56	$11,083,003	$97,956,000	8.84x
66	$14,187,181	$125,380,000	8.84x
76	$18,160,791	$160,481,000	8.84x
86	$23,247,348	$205,453,000	8.84x
96	$29,758,571	$262,986,000	8.84x

The Base Rent figures in the second column assume the 2.5% floor governs at every Rent Reset. The Breakpoint figures in the third column are illustrative only and apply the mechanic proposed in Section 5.3 (preserving the Lease Year 6 ratio of 8.84x); they are rounded to the nearest $1,000. If the Breakpoint is not indexed, it remains $28,500,000 for the entire Term.

Part 4 — Worked Examples

Lease Year	Gross Revenues	Breakpoint	Excess	Percentage Rent (2.0%)
6	$30,000,000	$28,500,000	$1,500,000	$30,000
6	$40,000,000	$28,500,000	$11,500,000	$230,000
16 (indexed)	$40,000,000	$36,486,000	$3,514,000	$70,280
26 (indexed)	$60,000,000	$46,697,000	$13,303,000	$266,060

EXHIBIT E

FORM OF LETTER OF CREDIT — REQUIRED TERMS

The Letter of Credit required by Article 8 shall be an irrevocable standby letter of credit containing not less than the following terms:

(a) **Applicant:** Meridian Gateway Holdings LLC.

(b) **Beneficiary:** City of Port Calloway Redevelopment Authority, and its successors and assigns as owner of the landlord's interest under the Lease.

(c) **Amount:** $5,700,000, reduced to $2,850,000 in accordance with Section 8.4 (with an amendment mechanism requiring the issuer to amend within five (5) Business Days after receipt of a beneficiary-signed reduction notice and Tenant's request).

(d) **Issuer:** A bank meeting the rating or charter requirements of Section 8.3.

(e) **Term:** One (1) year, automatically renewable for successive one-year periods unless the issuer gives not less than sixty (60) days' prior written notice of non-renewal to the beneficiary; or, at Tenant's election, a term co-extensive with the Lease with annual renewal.

(f) **Drawing:** Available by presentation of a sight draft and a beneficiary's certificate stating that an Event of Default has occurred and remains uncured after the expiration of all applicable notice, cure and Lender Cure Periods and that the amount drawn does not exceed the amounts then due and unpaid or the Documented Damages finally determined under Section 10.7.

(g) **Partial Draws:** Permitted, with automatic reinstatement of the available amount to the extent of any amounts subsequently paid by or on behalf of Tenant or restored by Tenant under Section 8.6.

(h) **Presentation:** In Connecticut, by hand, overnight courier, facsimile or electronic presentation complying with applicable law (including the Uniform Commercial Code as adopted in Connecticut).

(i) **Governing Rules:** International Standby Practices (ISP98) or Uniform Customs and Practice for Documentary Credits (UCP 600), as designated by the issuer.

(j) **Transfer:** Transferable at the request of the beneficiary to any successor owner of the landlord's interest, without fee.

(k) **Expiry:** Returned to the issuer for cancellation promptly upon delivery of a replacement or upon the return of the Security Deposit under Section 8.7.

EXHIBIT F

REQUIRED TERMS OF SUBORDINATION, NON-DISTURBANCE AND ATTORNMENT AGREEMENT

The SNDA required by Section 9.9 shall, at a minimum, provide as follows:

(a) Landlord acknowledges the existence, validity and first-priority lien of the Leasehold Mortgage, the assignment of leases and rents and the other collateral, and agrees that the Leasehold Mortgagee's interest is not subject to any offset, defense or claim of Landlord.

(b) Landlord agrees that, so long as no Event of Default by Tenant remains uncured after the expiration of all notice, cure and Lender Cure Periods, Landlord will not disturb the Leasehold Mortgagee's security interest, the leasehold estate, or the rights of any purchaser at a foreclosure sale or transferee by deed in lieu of foreclosure.

(c) Landlord agrees to recognize and accept the Leasehold Mortgagee, its designee, or any purchaser at foreclosure or transferee by deed in lieu of foreclosure as Tenant under the Lease (or under a New Lease), upon the same terms and conditions as the Lease, without requiring any further consent, fee or condition other than those in Article 9.

(d) Landlord agrees to deliver to the Leasehold Mortgagee a copy of every notice, together with the simultaneous delivery and cure provisions of Sections 9.3 and 9.5, and acknowledges the New Lease right in Section 9.6.

(e) All insurance proceeds and condemnation awards payable to Landlord's benefit as fee owner shall be applied as provided in Article 13, and the Leasehold Mortgagee's interest in such proceeds and awards shall be recognized.

(f) The Leasehold Mortgagee may exercise the New Lease right without Landlord's consent and without triggering the ROFR.

(g) The SNDA shall be binding on and inure to the benefit of the parties' successors and assigns, shall be recorded in the Port Calloway Land Records, and shall survive any transfer of Landlord's fee interest.

(h) Nothing in the SNDA shall subordinate Landlord's fee interest in the land to the Leasehold Mortgage or constitute an agreement by Landlord to subordinate its fee interest; the Leasehold Mortgagee's lien shall attach only to the leasehold estate and the Improvements.

EXHIBIT G

FORM OF MEMORANDUM OF GROUND LEASE

This Memorandum is prepared for the purpose of record notice only. It does not modify, amend or supersede the Ground Lease, and in the event of any conflict between this Memorandum and the Ground Lease, the Ground Lease controls.

1. Parties. Landlord: City of Port Calloway Redevelopment Authority, a public body corporate and politic organized under Connecticut General Statutes § 8-125 et seq., 75 Municipal Plaza, Port Calloway, Connecticut 06801. Tenant: Meridian Gateway Holdings LLC, a Delaware limited liability company, 400 Harborview Drive, Suite 1200, Port Calloway, Connecticut 06801.

2. Premises. The land located at 10–30 Pier Street, Port Calloway, Connecticut 06801, Assessor's Parcel No. 127-003-0045, containing approximately 3.2 acres (139,392 square feet), as more particularly described on Schedule 1 to this Memorandum (being Exhibit A to the Ground Lease).

3. Term. Ninety-nine (99) years, commencing on the Lease Commencement Date (targeted October 1, 2025) and expiring September 30, 2124, unless sooner terminated or extended in accordance with the Ground Lease.

4. Permitted Uses. Residential rental apartments, Class A office, ground-floor retail, restaurants, accessory parking, residential lobby and amenity space and accessory uses, in each case as more particularly set forth in Article 15 of the Ground Lease.

5. Rent. Initial annual Base Rent of $2,850,000, escalating at 2.5% per annum through Lease Year 15, with Rent Resets thereafter as provided in Article 4, plus Percentage Rent as provided in Article 5, in each case as more particularly set forth in the Ground Lease.

6. Notice of Restrictions and Rights. The Premises are subject to (a) the Environmental Land Use Restriction recorded at Volume 412, Page 88 of the Port Calloway Land Records; (b) the Right of First Refusal described in Article 11 of the Ground Lease; (c) the affordable housing covenant described in Section 14.5 of the Ground Lease and in the Declaration of Restrictive Covenants recorded at Volume 408, Page 230 of the Port Calloway Land Records; (d) the public utility easement recorded at Volume 388, Page 201; and (e) the public pedestrian access easement recorded at Volume 395, Page 112.

7. Leasehold Mortgage and New Lease. Tenant may grant one or more Leasehold Mortgages without Landlord's consent. Each Leasehold Mortgagee has the rights set forth in Article 9 of the Ground Lease, including independent cure periods, the right to a New Lease for the remainder of the Term upon any termination of the Ground Lease, and the right to foreclose and assign. The Ground Lease may not be surrendered, amended or terminated in any material respect without the consent of each Leasehold Mortgagee.

8. Improvement Payment. If the Ground Lease is terminated on account of a failure to achieve Milestone 1 or Milestone 3, Landlord is obligated to pay the Improvement Payment described in Section 10.6 of the Ground Lease as a condition to the effectiveness of the termination, and the Improvements do not otherwise pass to Landlord without compensation.

9. No Option or Renewal. Except as expressly set forth in the Ground Lease, Tenant has no renewal, extension or purchase option.

10. Reference to Ground Lease. Reference is made to the Ground Lease for the full terms and conditions, all of which are incorporated in this Memorandum by reference.

LANDLORD: CITY OF PORT CALLOWAY REDEVELOPMENT AUTHORITY

By: _____ Date: _____
Name: Paul Castignetti Title: Executive Director

TENANT: MERIDIAN GATEWAY HOLDINGS LLC

By: _____ Date: _____
Name: Marcus Ellison Title: Managing Member

STATE OF CONNECTICUT
COUNTY OF NEW HAVEN

On this __ *day of* __, 2025, personally appeared Paul Castignetti, Executive Director of the City of Port Calloway Redevelopment Authority, and Marcus Ellison, Managing Member of Meridian Gateway Holdings LLC, before me and acknowledged that they executed the foregoing instrument for the purposes therein contained.

_____ Notary Public My commission expires: ___

SCHEDULE 1 TO MEMORANDUM OF GROUND LEASE
LEGAL DESCRIPTION OF THE PREMISES

[Attach the legal description set forth on Exhibit A to the Ground Lease.]